



ANNUAL COMPREHENSIVE FINANCIAL REPORT

FOR THE FISCAL YEAR ENDED JUNE 30, 2025



Annual Comprehensive Financial Report of the

Pleasant Valley Community School District
Bettendorf, Iowa

For the Fiscal Year Ended June 30, 2025

Official Issuing Report

Mike Clingingsmith, Chief Financial Officer

Office Issuing Report

Administration Center

Introductory Section

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November 20, 2025

To School Board President Molly Brockmann,
Members of the Board of Education
Citizens and Stakeholders of the Pleasant Valley Community School District
Bettendorf, Iowa

We are pleased to submit to you the Annual Comprehensive Financial Report (ACFR) of the Pleasant Valley Community School District (the "District") for the fiscal year ending June 30, 2025. This report has been prepared to conform to guidelines recommended by the Association of School Business Officials (ASBO) International and the Government Finance Officers Association (GFOA) of the United States and Canada.

Management's Discussion and Analysis (MD&A) immediately follows the independent auditor's report and provides a narrative introduction, overview, and analysis of the basic financial statements. This letter of transmittal is designed to complement the MD&A and should be read in conjunction with it.

Management Responsibility

Responsibility for both the accuracy of the data and the completeness and fairness of the presentation, including all disclosures, rests with the officials of the District. To the best of our knowledge and belief, the enclosed information is fairly stated in all material respects and is presented in a manner which sets forth the financial position and results of the operations of the governmental activities, business-type activities, each major fund and aggregate of the remaining funds of the District in accordance with generally accepted accounting principles, (GAAP). It includes all funds of the District. The District is not included in any other reporting entity, nor are any other entities included within this report. All disclosures necessary to enable a reader to gain maximum understanding of the District's financial activities have been included.

Independent Audit/Legal Requirements

The Code of the State of Iowa requires an annual audit of the District to be performed by an accounting firm selected in a competitively bid process. The annual audit meets the requirements of the Code of Iowa, generally accepted auditing standards and the annual single audit requirements of Subpart F of Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). The auditor's report on the basic financial statements and combining and individual fund statements and other schedules is included in the financial section of this report. Information related to this single audit, including a schedule of expenditures of federal awards, summary schedule of prior audit findings, the independent auditor's report on internal control over financial reporting and on compliance and other matters, independent auditor's report on compliance with requirements applicable to each major program and internal control over compliance, a schedule of findings and questioned costs and corrective action plans (if any) are included in the Compliance Section of this report.

All of the District's funds are presented in this report and have been audited by the District's independent certified public accountants, Bohnsack & Frommelt LLP, Certified Public Accountants. Bohnsack & Frommelt LLP, Certified Public Accountants, have issued an unmodified ("clean") opinion on the Pleasant Valley Community School District's financial statements for the year ended June 30, 2025. The independent auditor's report is located at the front of the financial section of the ACFR.

Internal Control

Management of the District is responsible for establishing and maintaining an internal control structure designed to ensure that the assets of the District are protected from loss, theft or misuse and to ensure that adequate accounting data are compiled to allow for the preparation of financial statements in conformity with generally accepted accounting principles. The internal control structure is designed to provide reasonable, but not absolute, assurance that these objectives are met. The concept of reasonable assurance recognizes that: (1) the cost of a control should not exceed the benefits likely to be derived; and (2) the evaluation of costs and benefits requires estimates and judgments by management.

All internal control evaluations occur within the above framework. We believe that the internal accounting controls of the school district adequately safeguard assets and provide reasonable assurance of proper recording of financial transactions.

As a recipient of federal, state and local financial assistance, the District is also responsible for ensuring that adequate internal controls are in place to ensure compliance with applicable laws and regulations related to those programs. As part of the District's single audit, described earlier, tests are made to determine the adequacy of internal control, including that portion related to federal awards programs, as well as to determine that the District has complied with applicable laws and regulations.

Basis of Presentation

The charts and accounts used by the District have been prepared in conformity with accounting principles generally accepted in the United States of America as prescribed by the Governmental Accounting Standards Board and Audits of State and Local Government units issued by the American Institute of Certified Public Accountants. In addition, the District's accounting records materially conform to the Uniform Financial Accounting for Iowa Schools and Area Education Agencies issued by the Iowa Department of Education and Chapter 11 of the Code of Iowa. The chart of accounts manual is updated annually, and the District is materially in compliance with these requirements.

Profile of the District

The Pleasant Valley Community School District is proud to be considered the #1 school district in the state of Iowa (Niche – 2024 "Best School Districts in Iowa"). Our 738 faculty and staff serve more than 5,600 students in the 2024-2025 school year. Incorporated in 1962, our families live in Bettendorf, LeClaire, Panorama Park, Riverdale, unincorporated Pleasant Valley, Iowa and rural Scott County Iowa. In the 2024-2025 school year, the district operated two PK-6 elementary schools, four K-6 elementary schools, one 7-8 junior high, and one 9-12 high school. All buildings are air-conditioned and equipped with state of the art technology.

The resident population of the Pleasant Valley Community School District was estimated to be approximately 26,534 in the year 2025 according to the U.S. Census Bureau (based on 2023 ACS 5-year data).

The District provides a full range of educational services for those attending the Pleasant Valley Community School District including basic, regular and enriched academic education, specialized instruction for handicapped children, vocational education and many individualized programs such as specialized instruction for students at-risk. There are no charter school relationships within the District.

The District is supported financially by state aid, property taxes, state and federal grants for special projects and local revenue. The District is governed by a seven-member board of education, serving staggered terms of four years. School elections are held in November of odd numbered years. The District is divided into seven geographical director districts. Each member of the school board serves a particular geographical director district. The Board of Directors is a policy-making and planning body whose decisions are carried out by school administrators. The District is subject to the general oversight of the Iowa Department of Education. This oversight generally includes an approval process that reviews compliance

to standards enacted by legislative mandate.

The combined financial statements include all funds, organizations, agencies, boards, commissions and other authorities. The District has also considered all potential component units for which it is financially accountable, and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The criteria considered in determining financial accountability include appointing a voting majority of an organization's governing body, and 1) the ability of the District to impose its will on that organization or 2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on the District.

Budgeting

The District's Board of Education annually adopts a budget and approves the related appropriations for the General, Special Revenue, Debt Service, Capital Projects and Enterprise Funds in accordance with provisions outlined in the statutes of the State of Iowa. The budgets are prepared on an accrual basis, which details estimates of GAAP revenues and GAAP expenditures, and use of beginning fund balances, whereas the financial statements of the funds are prepared on either the modified accrual basis or accrual basis of accounting. A statement comparing the budget to actual receipts and disbursements is included in the required supplemental information in aggregate form for fund types for which budgets are required. For management control, the budget is reviewed on a line item basis. Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functions, not by fund or fund type.

It should be noted that school districts have two levels of budgetary control. One form of budgetary control exists through the certified budget, which includes all fund of the District (the type of budget explained in the preceding paragraph). This budget is certified with the County Auditor and the Iowa Department of Management each year. Iowa school districts may not certify a general fund budget in excess of its spending authority.

The other level of budgetary control is the unspent (maximum) authorized budget and pertains only to the General Fund of the District. The maximum authorized budget is the total spending authority in the General Fund of the District. The unspent budget is a budgetary concept and is not equivalent to General Fund cash. It is imperative for users of District financial information to make this important distinction. The unspent balance is the amount of spending authority that is carried over into the next fiscal year. The unspent balance is a budgetary carryover and does not represent actual dollars (General Fund cash) or actual financial position (nonspendable, restricted, assigned or unassigned General Fund fund balance) of the District.

Economic Condition and Outlook

The Quad Cities region is a bi-state, six-county region comprised of Clinton, Muscatine, and Scott Counties in Iowa, and Henry, Mercer, and Rock Island Counties in Illinois with a population of 474,019 and is the heart of the Midwest, a proud, forward-thinking family of communities connected by one of the world's most renowned rivers, the Mississippi River.

The Quad Cities is within a 300-mile radius of 41 million people and just hours of major markets like Chicago, Minneapolis-St. Paul, Des Moines, Omaha, Kansas City and Indianapolis.

The Quad Cities is the home and headquarters of Deere & Company, the Fortune 100 icon and global agricultural equipment innovator, and more than 150 Fortune 500 & 1000 companies with a presence in the Quad Cities. It is where the major military installation, Rock Island Arsenal, operates and achieves its critical mission, supported by the QC advanced metals and materials manufacturing sector and thousands of highly skilled workers. The Arconic aluminum manufacturing plant is located within the boundaries of the Pleasant Valley Community School District and employs approximately 2,500 employees.

The Quad Cities economic strength has grown over the past five years by 5.2%. Expanding businesses and companies new to the region – including Amazon and Fair Oaks Foods – have acted on their confidence in the Quad Cities economy investing a total \$1.5 billion in capital and creating more than 4,500 new jobs.

The unemployment rate in Scott County, Iowa averaged 4.6% between January, 2025 to September, 2025. The national average was 4.3% in August, 2025.

Taxable valuations of property in the District continue to increase each year. The average growth in the District's taxable valuations (including tax increment financing (TIF's)) over the last ten years has been 5.2%. In the 2024-25 fiscal year (taxable valuations as of January 1, 2023), the increase was 4.6%. The Cities of Bettendorf, LeClaire and Riverdale, Iowa continue to encourage job creation and capital investment through the use of tax abatements offered to entities that contribute to economic development of the Cities.

The oldest school building in the District, Cody Elementary School, was originally built in 1954 and has been very well maintained, as have all of the District's schools. Other school buildings in the District have original build dates between 1959 and 2021.

The financial solvency ratio of the District measures movement and distribution of current assets. The financial solvency ratio represents a school district's year-end position after payment of all current and outstanding or accrued liabilities. Iowa Association of School Boards recommends a target solvency ratio within a range of 7% to 17%. The District's solvency ratio at June 30, 2025 is 22.4%, which is an increase from 20.3% at June 30, 2024.

The Iowa school funding formula is a complex formula that is pupil driven and increasing total spending authority occurs by increasing the number of pupils or increasing the cost per pupil. The district cost per pupil for 2024-2025 was \$7,924.

The Iowa Legislature has introduced a major change to the funding model for Area Education Agencies (AEAs), which support school districts with services such as special education, media, and educational services. Starting with the 2024-25 school year, funding for media and educational services was allocated by the state on a per-pupil basis, flowing through districts rather than directly to the AEAs. During the 2024-25 school year, AEAs retained 40% of this funding, while districts controlled 60%. This shift allows districts the flexibility to either continue using AEA services or redirect the funds toward other necessary general expenditures.

By the 2025-26 school year, districts will receive 100% of the media and educational services allocation. At that point, they can opt to either use those funds for AEA services or spend them on similar services from other providers. The transition year is crucial for districts to assess their needs and determine how to allocate resources effectively. Meanwhile, special education funding remains largely with the AEAs, though 10% will be redirected to districts in 2025-26.

In addition to the changes affecting Area Education Agencies (AEAs), the Iowa Legislature also approved a significant update to the teacher pay structure. Starting in fiscal year 2024-25, the minimum salary for teachers rose to \$47,500, with a further increase to \$50,000 by the 2025-26 fiscal year. Teachers with 12 or more years of experience will see their minimum pay increase to \$60,000 in the 2024-25 fiscal year and \$62,000 in the 2025-26 fiscal year. This increase in teacher salaries will require districts to allocate more of their budget toward compensation. The higher pay scale could also strain general funds if not supported by increased state funding, especially as districts gain flexibility in reallocating funds previously earmarked for AEAs. This combination of increased teacher pay and changes in AEA funding marks a critical period of financial adjustment for school districts across Iowa.

In recent years, the state of Iowa has faced an economic downturn that severely hampered its ability to fund schools at the same level as in prior years. The District has faced inadequate funding for state aid and other state-funded programs, and this has resulted in lower supplemental state aid.

A nationwide labor shortage has made it increasingly difficult to retain and recruit qualified staff. Global supply chain disruption and significant increases in inflation have driven the prices of goods and services past projected budget allocations. As a result, local, regional and national economies, including that of the District, may be adversely impacted.

Debt Administration

As of June 30, 2025 the District had \$50,260,035 of debt applicable to its legal debt margin. This amount is well below the District's bonding capacity of \$236,264,415.

Long-term Financial Planning and Relevant Financial Policies

Financial Policies

The District invests in only those securities allowed by the Code of Iowa, Chapter 12C. The District's cash and pooled investments consist of depository accounts at financial institutions including short-term and long-term nonnegotiable certificate of deposits. The cash balances of the District's funds are pooled. Interest revenue of \$2,266,394 was earned on all deposits and investments for the fiscal year ending June 30, 2025.

The District currently covers property and liability losses with traditional insurance coverage. The group health plan and dental plan are fully self-funded.

A comprehensive accounting system is promulgated by the Iowa Department of Education including account numbers for revenues and expenditures by function and object. The District additionally tracks revenues by source of funds and expenditures by location, curricular program and funding source.

For long-term planning, the District utilizes a "Comprehensive Financial Planning Model" to project out various scenarios and how they could affect the financial health of the District in the next five years. The District also has a "Five Year Capital Projects Plan" which is updated at least annually for projecting future capital project needs in the District.

Major Initiatives and Achievements

An important element in maintaining an excellent educational program is the management of fiscal and capital resources. The District's use of a long-range planning process, a growing enrollment and an increasing property tax base have helped to achieve and maintain the following results:

- Salary and benefit schedules that attract and retain a high quality faculty and staff
- Excellent facilities and equipment maintained and updated on an ongoing basis
- Broad community support for bond referendums, Instructional Support Levy, Revenue Purpose Statement renewal for the Secure an Advanced Vision for Education (SAVE) one cent sales tax for school infrastructure and voted Physical Plant and Equipment Levy (PEEL)

The District has 421 certified teachers under contract in the District. 72.2% of the teachers have a master's degree and / or graduate hours beyond their master's. The development of life-long learners is a key strategic goal. The District models this expectation in the selection, professional development, and retention of its faculty and staff. Supporting the belief that quality teaching is the single most important variable a District can influence. The District provides:

- A rigorous two-year mentoring program for all beginning teachers
- Ongoing professional development
- An emphasis on the study and acquisition of "best practice" in the field of education
- Encouragement toward the pursuit of advanced degree work
- Leadership opportunities

Following is the Pleasant Valley Community School District's Mission Statement:

The mission of the Pleasant Valley Community School District as a premier innovative district in the Midwest is to prepare students to succeed in a diverse, global society by providing superior quality opportunities in a safe environment for each student to become a life-long learner and by continuously improving and customizing the educational experience.

The Pleasant Valley Community School District's Vision Statement is:

It is the vision of the Pleasant Valley Community School District that we shall provide the finest academic and extra-curricular programs in the state - not in some things, but in everything; not for some students but for every student.

The District is proud of its academic, activities and athletics programs, which includes the following highlights from the 2024-25 school year:

SPARTAN SPOTLIGHTS

ACADEMICS

- 12 National Merit Scholars
- 62 seniors earned the Seal of Bi-Literacy

FINE ARTS

Band, Choir & Orchestra

- 280 HS band students last year. (803 in 6-12 grade)
- 10 band students selected to the Iowa All-state band, 1 student selected to the 4A Iowa All State Jazz Band, 20 selected to the South East Iowa District High School Honor Band
- 7 High School, 8 Junior High, and 9 Elementary students were selected and participated in the SEISTA (South Eastern Iowa String Teacher's Association) Honor Orchestra.
- 36 students accepted and one alternate student selected to the Opus Honor Choir
- 30 PVJH students selected for JH SEICDA Honor Choir
- Leading Tones performed at the Iowa Vocal Jazz Championships and placed FIRST in 4A

Drama & Speech

- 23 THESPY performances resulting in 6 national qualifying performances and two center awards, 2 first place wins in tech challenge, 3 ImprovWorks performances, a PV representative elected to the state student board for the 12th year running, and a Thespian Scholarship winner.
- The SpongeBob Musical earned 2024-2025 Outstanding Overall Technical and Creative Achievement award
- PVHS students competed in 13 events at the State Speech Competition, earning 7 Division 1 and 6 Division 2 rankings

Art

- Sherry Tang had her artwork published in the New York Times
- 50 students participate in the Festival of Trees High School Art Show; Three students received awards.
- 19 students participate in the Quad City Arts High School Invitational. 6 students received awards totaling \$2,200.
- Celebrating Artists: all of these students had their work published in the Celebrating Art Spring 2025 volume: Lilly Jensen, Sofia Anderson, Adeline Trees, and Madalyn Locke



ATHLETICS

- Of the 22 Iowa sanctioned sports, Pleasant Valley advanced to state in 19 either as a team, an individual, or both including **3 State Championships: Girls Cross Country, Girls Volleyball, Dance Class XIII Pom. Pleasant Valley Platinum Dance also won their 14th state championship.**
- Individual Awards:
 - Isabelle Kremer named IGCA 5A Volleyball Player of the Year

ACTIVITY ACCOLADES

- **PVHS Robotics:** Team No Limit (FRC Robotics Team) Earned a Captainship at the Central Illinois Regional, Robotics Program receives a \$10,000 grant from RDA
- **PV Robotics** FTC Team #6093 Deviation From the Norm advanced to the State Championships by winning the Inspire Award & Captain of the Winning Alliance.
- **Future Business Leaders of America** members attended the state leadership conference where 19 members qualified for nationals! In addition, 5 members were state champs in one of their events.
- **JA Titan Business Simulation:** Pleasant Valley High School had two teams compete in the JA Titan competition, a simulation-based program where students act as CEOs in the phone industry, making strategic business decisions and analyzing outcomes in real time. PV teams earned both 1st and 2nd place in the initial round.
- **PVHS Physics Club** earned an impressive 2nd place out of more than 20 teams at the State of Iowa Physics Competition
- **PV Engineering** Wins QC Tech Challenge Trebuchet Competition
- **Science Bowl Club** team wins the Iowa regional championship, qualified to compete in the National Science Bowl competition in Washington DC
- **PVHS Ethics Bowl Teams** place first, second, and third at Friday's state competition. The three teams had only one loss in the entire tournament, in the final round to another PV team!
- **Student Hunger Drive raised** 102,312 pounds (265,464 meals). For the 7th year in a row, PV is the winner of Student Hunger Drive!
- **Iowa Skills USA**, 2 students captured fifth-place in the 33rd annual (DMACC)/Iowa Automobile Dealers Association (IADA) Automotive Skills Contest.
- **Spartan Shield** students earn 10 Iowa High School Press Association awards

DISTRICT & STAFF ACHIEVEMENTS

- Amber Hall named IGCA 5A Volleyball Coach of the Year
- Colin Wikan named the 2024-25 Southeast District Middle School Activities Director of the Year.
- Shawn Rice - PV teacher at Edison Academy was awarded a Lifetime Achievement Award from the Iowa Association of Alternative Education
- Christina Myatt received the Impact Award, a student-nominated award presented to an adult who leads and/or supports their school's theater productions
- Jason Landa received the Regional Computer Science Teaching Excellence Award and was named a finalist for the National Award

Certificate of Achievement for Excellence in Financial Reporting (GFOA) and Certificate of Excellence in Financial Reporting (ASBO)

The Government Finance Officers Association of the United States and Canada (GFOA) awarded a Certificate of Achievement for Excellence in Financial Reporting to Pleasant Valley Community School District for its comprehensive annual financial report for the fiscal year ended June 30, 2024. This was the ninth consecutive year that the District has achieved this prestigious award from GFOA. The Association of School Business Officials (ASBO) International awarded a Certificate of Excellence in Financial Reporting to Pleasant Valley Community School District for its comprehensive annual financial report for the fiscal year ended June 30, 2024. This was also the ninth consecutive year that the District has achieved this prestigious award from ASBO. In order to be awarded these certificates, a government must publish an easily readable and efficiently organized comprehensive annual financial report. This report must satisfy both generally accepted accounting principles and applicable legal requirements.

These certificates are valid for a period of one year only. We believe that our current Comprehensive Annual Financial Report meets program requirements for both awards and we are submitting it to ASBO and GFOA to determine its eligibility for each certificate.

We wish to take this opportunity to thank the administrative office staff who assisted in obtaining and organizing data, our financial auditors, the County Auditor and Treasurer offices and the city and town officials who provided much needed information. Without all of the above groups' efforts, the report could not have been completed.

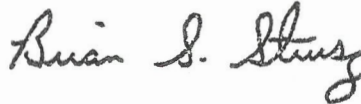
Finally, sincere appreciation is extended to the Board of Directors, where the commitment to excellence begins. It is with great pride that this year's Comprehensive Annual Financial Report is submitted to the Board of Directors and the residents of the Pleasant Valley Community School District.

Very truly yours,



Mike Clingingsmith

Chief Financial Officer



Brian Strusz

Superintendent

Pleasant Valley Community School District

Board of Education and School District Officials

Year Ended June 30, 2025

Board of Education

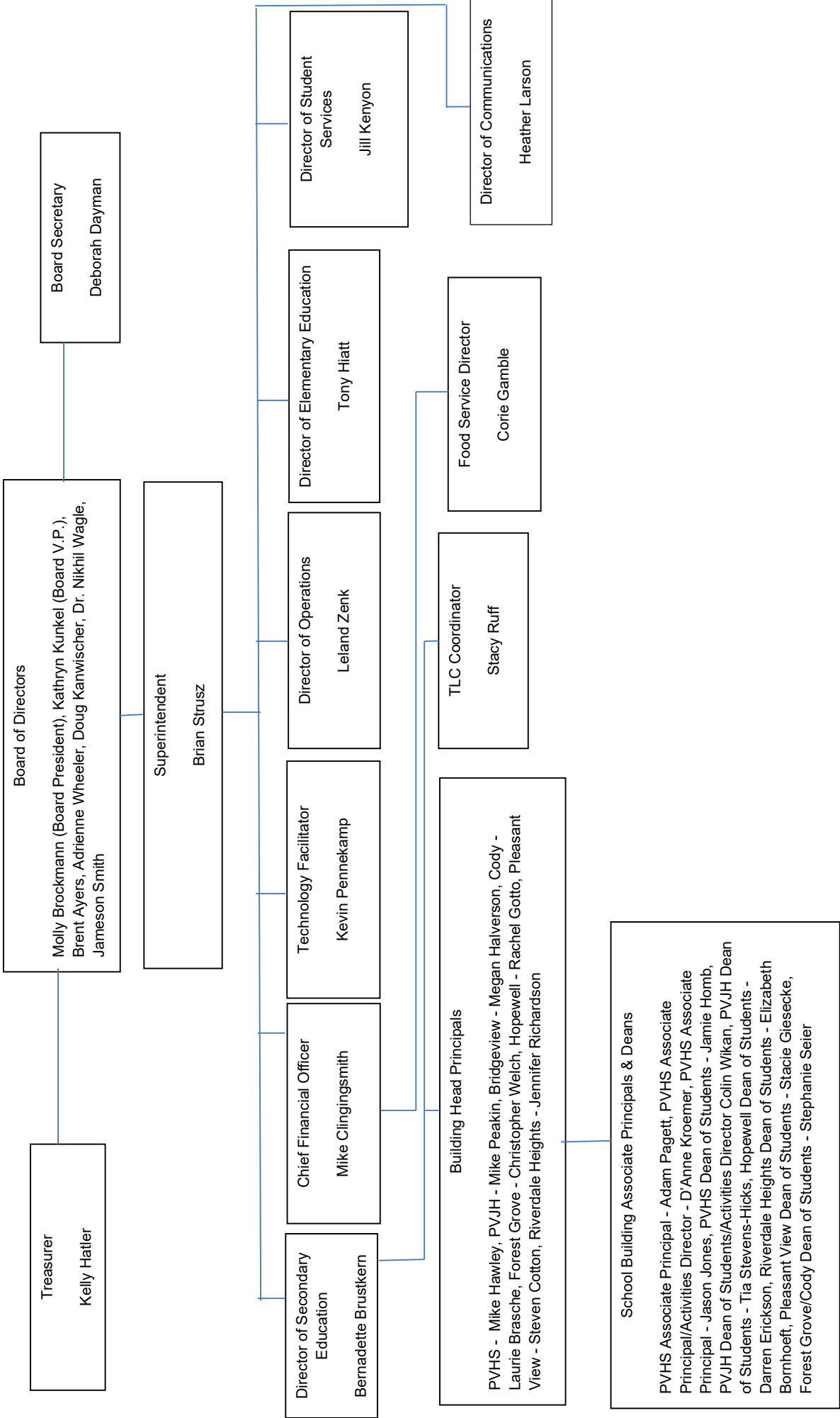
Name	Title	Term Expires
Molly Brockmann	Board President	2027
Kathryn Kunkel	Board Vice President	2025
Brent Ayers	Board Member	2025
Adrienne Wheeler	Board Member	2027
Nikhil Wagle	Board President	2027
Jameson Smith	Board Member	2027
Doug Kanwischer	Board Member	2025

School District Officials

Brian Strusz	Superintendent	2027
Tony Hiatt	Director of Elementary Education	2026
Bernadette Brustkern	Director of Secondary Education	2026
Mike Clingingsmith	Chief Financial Officer	2026
Deborah Dayman	Board Secretary	2025
Kelly Hatler	District Treasurer	2025
Lane & Waterman	Attorney	Indefinite

PLEASANT VALLEY COMMUNITY SCHOOL DISTRICT

Organizational Chart (As of June 30, 2025)





Government Finance Officers Association

Certificate of
Achievement
for Excellence
in Financial
Reporting

Presented to

**Pleasant Valley Community School District
Iowa**

For its Annual Comprehensive
Financial Report
For the Fiscal Year Ended

June 30, 2024

Christopher P. Morill

Executive Director/CEO



ASSOCIATION OF
SCHOOL BUSINESS OFFICIALS
INTERNATIONAL

The Certificate of Excellence in Financial Reporting
is presented to

**Pleasant Valley Community
School District**

for its Annual Comprehensive Financial Report
for the Fiscal Year Ended June 30, 2024.

The district report meets the criteria established for
ASBO International's Certificate of Excellence in Financial Reporting.



A handwritten signature in black ink, reading 'Ryan S. Stechschulte'.

Ryan S. Stechschulte
President

A handwritten signature in black ink, reading 'James M. Rowan'.

James M. Rowan, CAE, SFO
CEO/Executive Director



Independent Auditor's Report

To the Board of Education
Pleasant Valley Community School District
Bettendorf, Iowa

Report on the Audit of the Financial Statements

Opinions

We have audited the financial statements of the governmental activities, business-type activities, each major fund, and the aggregate remaining fund information of the Pleasant Valley Community School District (the District) as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, business-type activities, each major fund and the aggregate remaining fund information of the Pleasant Valley Community School District, as of June 30, 2025, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to the financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States (*Government Auditing Standards*). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Pleasant Valley Community School District and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Emphasis of Matter

As discussed in Note 14 to the financial statements, the District adopted new accounting guidance related to Governmental Accounting Standards Board Statement No. 101, *Compensated Absences*. As a result, June 30, 2024 governmental activities, business-type activities and Nutrition Fund net positions were restated.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Pleasant Valley Community School District's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Pleasant Valley Community School District's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Pleasant Valley Community School District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, budgetary comparison information, schedule of changes in the District's total OPEB liability and related ratios, and schedule of the District's proportionate share of the net pension liability and schedule of District contributions on pages 4-16 and 59-68 be presented to supplement the basic financial statements. Such information, is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements.

We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the Pleasant Valley Community School District's basic financial statements. The supplementary information, as listed on the table of contents and the Schedule of Expenditures of Federal Awards as required by Title 2, *U.S Code of Federal Regulations*, Part 200, *Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards* (Uniform Guidance), are presented for purposes of additional analysis and are not a required part of the basic financial statements.

Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information and Schedule of Expenditures of Federal Awards is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Information

Management is responsible for the other information included in the annual report. The other information comprises the introductory and statistical sections but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated October 3, 2025, on our consideration of the Pleasant Valley Community School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the Pleasant Valley Community School District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Pleasant Valley Community School District's internal control over financial reporting and compliance.

Bohnsack & Frommelt LLP

Moline, Illinois
October 3, 2025

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Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

Pleasant Valley Community School District provides this Management's Discussion and Analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2025. We encourage readers to consider this information in conjunction with the District's financial statements, which follow:

2024-25 FINANCIAL HIGHLIGHTS

- The District's net position for governmental activities was \$90,269,834 at June 30, 2025 compared to restated \$81,952,661 at June 30, 2024, an increase of \$8,317,173 or 10.1%.
- Net position for business-type activities was \$4,171,980 at June 30, 2025 compared to restated \$4,015,794 at June 30, 2024, an increase of \$156,186 or 3.9%.
- The beginning net position for Governmental Activities, Business-Type Activities and the Nutrition Fund were restated for the implementation of GASB Statement No. 101, *Compensated Absences*.
- General Fund revenues increased from \$69,450,118 in the 2023-24 fiscal year to \$71,687,829 in the 2024-25 fiscal year (a 3.2% increase), while General Fund expenditures increased from \$66,728,017 in the 2023-24 fiscal year to \$69,922,416 in the 2024-25 fiscal year (a 4.8% increase). The District's fund balance in the General Fund increased from \$14,965,075 at June 30, 2024 to \$16,738,808 at June 30, 2025, an 11.9% increase.
- The revenue increase in the 2024-25 fiscal year was mainly due to increases in state aid due to a 2.50% increase in supplemental state aid (S.S.A.) for the fiscal year and an increase in teacher salary supplement (TSS) funding by the state to increase teacher minimum salaries. The increase in expenditures was due primarily to an increase in negotiated salaries and benefits for the 2024-25 fiscal year.
- The District's solvency ratio (Assigned + Unassigned General Fund Balance / Actual General Fund Revenues – AEA Flowthrough) increased from 20.3% at June 30, 2024 to 22.4% at June 30, 2025. Per the Iowa Association of School Board (IASB), solvency ratio is a financial measure that provides a picture of the cash resources on hand at fiscal year-end of a school district and represents the percent of the district's available funding. IASB recommends that this ratio be between 7 – 17%, not to exceed 25%.
- Long-term bonded debt decreased \$5,904,311 during the 2024-25 fiscal year due to scheduled debt payments.
- The District's 2024-25 fiscal year overall property tax levy rate remained steady when compared to the 2023-24 fiscal year property tax levy rate at \$13.46 (rounded to the nearest penny) per \$1,000 taxable valuation.

USING THIS ANNUAL REPORT

The annual report consists of a series of financial statements and other information, as follows:

- Management's Discussion and Analysis introduces the basic financial statements and provides an analytical overview of the District's financial activities.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

- The government-wide financial statements consist of a Statement of Net Position and a Statement of Activities. These provide information about the activities of Pleasant Valley Community School District as a whole and present an overall view of the District's finances.
- The fund financial statements tell how governmental services were financed in the short term as well as what remains for future spending. Fund financial statements report Pleasant Valley Community School District's operations in more detail than the government-wide statements by providing information about the most significant funds. The remaining statements provide financial information about activities for which Pleasant Valley Community School District acts solely as an agent or custodian for the benefit of those outside of the District.
- Notes to financial statements provide additional information essential to a full understanding of the data provided in the basic financial statements.
- Required supplementary information further explains and supports the financial statements with a comparison of the District's budget for the year, the District's proportionate share of the net pension liability and related contributions, as well as presenting the Schedule of Changes in the District's Total OPEB Liability, Related Ratios and Notes.
- Other supplementary information provides detailed information about the nonmajor governmental funds.

REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES

Government-Wide Financial Statements

The government-wide financial statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The Statement of Net Position includes all of the District's assets, deferred outflows of resources, liabilities, and deferred inflows of resources, with the difference reported as net position. All of the current year's revenues and expenses are accounted for in the Statement of Activities, regardless of when cash is received or paid.

The two government-wide statements report the District's net position and how it has changed. Net position is one way to measure the District's financial health or financial position. Over time, increases or decreases in the District's net position is an indicator of whether financial position is improving or deteriorating. To assess the District's overall health, additional non-financial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities need to be considered.

In the government-wide financial statements, the District's activities are divided into two categories:

Governmental activities: Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property tax and state aid finance most of these activities.

Business type activities: The District charges fees to help it cover the costs of certain services it provides. The District's school nutrition program and student construction fund are included here.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds – not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

Some funds are required by state law and by bond covenants. The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds, or to show that it is properly using certain revenues, such as federal grants.

The District has three kinds of funds:

- 1) **Governmental Funds:** Most of the District's basic services are included in governmental funds, which generally focus on (1) how cash and other financial assets that can readily be converted to cash flow in and out and (2) the balances left at year-end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs.

The District's major governmental funds for 2024-25 were the General Fund and the Capital Projects Fund. The nonmajor governmental funds include two Special Revenue Funds (the Management Fund and Student Activities Fund) and the Debt Service Fund. The required financial statements for governmental funds include a Balance Sheet and a Statement of Revenues, Expenditures and Changes in Fund Balances.

- 2) **Proprietary funds:** Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide financial statements. The District's Enterprise Funds, one type of proprietary fund, are the same as its business-type activities but provide more detail and additional information, such as cash flows. The District currently has two Enterprise Funds, the School Nutrition Fund and the Student Construction Fund. The District uses internal service funds, the other kind of proprietary fund, to report activities that provide supplies and services for other District programs and activities. The District currently has one internal service fund, which is used to account for the District's self-funded health and fully self-funded dental insurance plans.

The required financial statements for proprietary funds include a Statement of Net Position, a Statement of Revenues, Expenses and Changes in Net Position and a Statement of Cash Flows.

- 3) **Fiduciary funds:** The District is the trustee, or fiduciary, for assets that belong to others. This fund type includes custodial funds.

Custodial Funds: These are funds through which the District faculty accounts for certain revenue collected for District employee purchases of pop, funeral flowers, etc. and related expenditures and for revenues and expenditures of other various club accounts.

The District is responsible for ensuring the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

The required financial statements for fiduciary funds include a Statement of Fiduciary Net Position and a Statement of Changes in Fiduciary Net Position.

Reconciliations between the government-wide financial statements and the governmental fund financial statements follow the governmental fund financial statements.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Figure A-1 below provides a summary of the District's net position as of June 30, 2025 compared to June 30, 2024.

Figure A-1 Condensed Statement of Net Position

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	Restated		Restated		Restated		
	2025	2024	2025	2024	2025	2024	2024-25
Current and other assets	\$ 77,964,090	\$ 92,147,174	\$ 4,424,824	\$ 4,285,098	\$ 82,388,914	\$ 96,432,272	-14.6%
Capital assets	126,614,195	110,938,394	476,569	506,109	127,090,764	111,444,503	14.0%
Total assets	204,578,285	203,085,568	4,901,393	4,791,207	209,479,678	207,876,775	0.8%
Deferred outflows of resources	7,491,112	9,586,903	176,210	221,631	7,667,322	9,808,534	-21.8%
Long-term liabilities	81,857,808	90,084,396	694,621	721,046	82,552,429	90,805,442	-9.1%
Other liabilities	12,926,231	12,475,940	148,492	214,044	13,074,723	12,689,984	3.0%
Total liabilities	94,784,039	102,560,336	843,113	935,090	95,627,152	103,495,426	-7.6%
Deferred inflows of resources	27,015,524	28,159,474	62,510	61,954	27,078,034	28,221,428	-4.1%
Net position:							
Net investment in capital assets	83,402,589	77,032,809	476,569	506,109	83,879,158	77,538,918	8.2%
Restricted	11,334,519	12,373,804	11,623	13,099	11,346,142	12,386,903	-8.4%
Unrestricted	(4,467,274)	(7,453,952)	3,683,788	3,496,586	(783,486)	(3,957,366)	80.2%
Total net position	\$ 90,269,834	\$ 81,952,661	\$ 4,171,980	\$ 4,015,794	\$ 94,441,814	\$ 85,968,455	9.9%

The District's combined net position as of June 30, 2025 grew by \$8,473,359 (9.9%) over the June 30, 2024 combined net position. Net position in the governmental activities grew by \$8,317,173 (10.1%). The net position of the District's business-type activities increased by \$156,186 (3.9%).

The largest portion of the District's net position is invested in capital assets (e.g., land, infrastructure, intangibles, buildings, equipment and right-to-use leased equipment), less the related debt. The debt related to the investment in capital assets is liquidated with resources other than capital assets.

The most significant factors for the increase in the combined net position of the District were the increase in the unrestricted portion of net position and the increase in the net investment in capital assets.

The District's combined net investment in capital assets increased by \$6,340,240 (8.2%) primarily due to District's continued investment in buildings.

Restricted net position represents resources subject to external restrictions, constitutional provisions or enabling legislation on how they can be used. The District's restricted net position decreased by \$1,040,761 (8.4%) primarily due to school infrastructure restricted funds being spent on capital projects of the District.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

Governmental activities unrestricted net position (the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation or other legal requirements) increased by \$3,173,880 (80.2%).

Net position increased in Business-Type activities by \$156,186 (3.9%).

Figure A-2 shows the changes in net position for the year ended June 30, 2025 compared to the year ended June 30, 2024.

Figure A-2 Changes in Net Position From Operating Results

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	Not restated		Not restated		Not restated		
	2025	2024	2025	2024	2025	2024	2024-25
Revenues:							
Program revenues:							
Charges for services	\$ 5,843,917	\$ 5,106,988	\$ 2,240,697	\$ 2,281,036	\$ 8,084,614	\$ 7,388,024	9.4%
Operating grants and contributions	11,602,239	11,363,779	1,096,770	1,122,110	12,699,009	12,485,889	1.7%
Capital grants and contributions	12,500	51,548	-	-	12,500	51,548	100.0%
General revenues:							
Property taxes	28,745,302	27,737,459	-	-	28,745,302	27,737,459	3.6%
State foundation aid	31,335,685	29,912,675	-	-	31,335,685	29,912,675	4.8%
Unrestricted intergovernmental revenue	7,324,934	7,320,316	-	-	7,324,934	7,320,316	0.1%
Other	2,939,127	2,619,253	175,119	186,633	3,114,246	2,805,886	11.0%
Total revenues	87,803,704	84,112,018	3,512,586	3,589,779	91,316,290	87,701,797	4.1%
Expenses:							
Instruction	52,048,215	54,367,970	-	-	52,048,215	54,367,970	-4.3%
Support services	23,407,967	21,396,919	-	-	23,407,967	21,396,919	9.4%
Noninstructional	36,999	48,284	3,304,100	3,161,569	3,341,099	3,209,853	4.1%
Other	4,045,650	4,278,366	-	-	4,045,650	4,278,366	-5.4%
Total expenses	79,538,831	80,091,539	3,304,100	3,161,569	82,842,931	83,253,108	-0.5%
Change in net position before transfers	8,264,873	4,020,479	208,486	428,210	8,473,359	4,448,689	90.5%
Transfers	52,300	49,417	(52,300)	(49,417)	-	-	0.0%
Increase in net position	8,317,173	4,069,896	156,186	378,793	8,473,359	4,448,689	90.5%
Net position, beginning of year, as restated	81,952,661	79,973,084	4,015,794	3,756,400	85,968,455	83,729,484	
Net position, end of year	\$ 90,269,834	\$ 84,042,980	\$ 4,171,980	\$ 4,135,193	\$ 94,441,814	\$ 88,178,173	

In 2024-25, property taxes, unrestricted intergovernmental revenue and state foundation aid accounted for 76.8% of the revenue from governmental activities while charges for services and grants and contributions accounted for 95.0% of the revenue from business-type activities.

Pleasant Valley Community School District

**Management’s Discussion and Analysis
Year Ended June 30, 2025**

In 2024-25, the District’s expenses primarily relate to instructional and support services, which account for 91.1% of the total expenses. Total District expenses decreased by \$410,177 (0.5%), primarily because of decreases in instruction costs.

Total revenue for the District increased by \$3,614,493 (4.1%) in the fiscal year ended June 30, 2025. The most significant revenue category changes were due to an increase in property taxes and state foundation aid.

Figures A-3 and A-4, which follow, show charts reflecting sources of revenue and distribution of expenses for the 2024-25 fiscal year.

**Figure A-3 - Sources of Revenues for
2024-25 Fiscal Year**

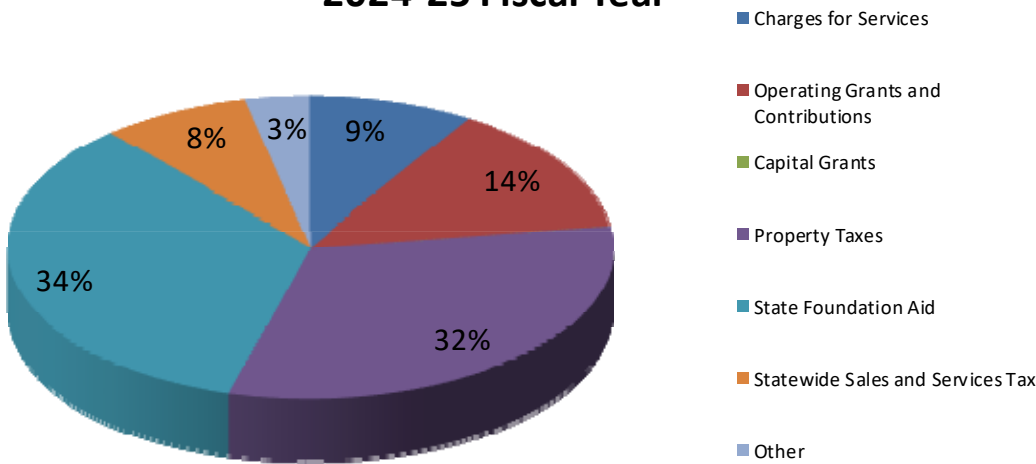
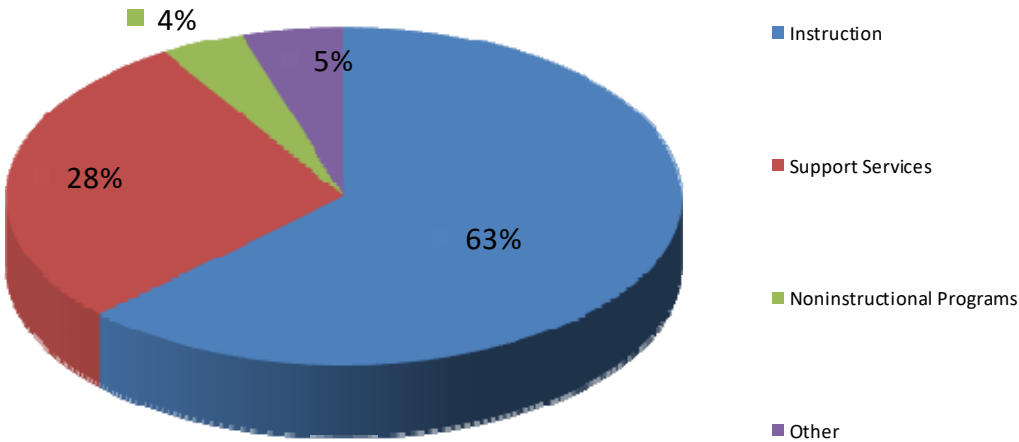


Figure A-4 - Expenses for 2024-25 Fiscal Year



Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

Governmental Activities

Revenue for the District's governmental activities in 2024-25 increased by \$3,691,686 (4.4%) from the previous year, while total expenses in governmental activities decreased by \$552,708 (0.7%). Governmental activities net position as of June 30, 2025 increased by \$8,317,173 (10.1%) over the June 30, 2024 balance.

Figure A-5 presents the total and net cost of the District's major governmental activities: instruction, support services, noninstructional programs and other expenses, for the year ended June 30, 2025 compared to the year ended June 30, 2024.

Figure A-5 Net Cost of Governmental Activities

	Total Cost of Services		Percentage Change	Net Cost of Services		Percentage Change
	2025	2024		2025	2024	
Instruction	\$ 52,048,215	\$ 54,367,970	-4.3%	\$ 38,006,449	\$ 42,493,513	-10.6%
Support services	23,407,967	21,396,919	9.4%	22,189,061	19,522,784	13.7%
Noninstructional	36,999	48,284	-23.4%	36,999	48,284	-23.4%
Other	4,045,650	4,278,366	-5.4%	1,847,666	1,504,643	22.8%
Total	\$ 79,538,831	\$ 80,091,539	-0.7%	\$ 62,080,175	\$ 63,569,224	-2.3%

For the year ended June 30, 2025:

- The cost financed by the users of the District's programs was \$5,843,917.
- Federal and state governments and some local sources subsidized certain programs with grants and contributions totaling \$11,614,739.
- The net cost of governmental activities was financed with \$28,745,302 in property taxes, \$31,335,685 of unrestricted state grants, \$7,324,934 in statewide sales and services tax revenue, and \$2,939,127 in investment and other earnings.

For the year ended June 30, 2024:

- The cost financed by the users of the District's programs was \$5,106,988.
- Federal and state governments and some local sources subsidized certain programs with grants and contributions totaling \$11,415,327.
- The net cost of governmental activities was financed with \$27,737,459 in property taxes, \$29,912,675 of unrestricted state grants, \$7,320,316 in statewide sales and services tax revenue, and \$2,619,253 in investment and other earnings.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

Business-Type Activities

The District's business-type activities include the School Nutrition Fund and Student Construction Fund. Revenues of the District's business-type activities in 2024-25 were \$3,512,586; a decrease of \$77,193 (2.2%) from 2023-24. Other revenues of these activities were comprised of federal and state reimbursements and interest. Expenses were \$3,304,100, an increase of \$142,531 (4.5%) from 2023-24.

INDIVIDUAL FUND ANALYSIS

As previously noted, the Pleasant Valley Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

The financial performance of the District as a whole is reflected in its governmental funds, as well. As the District completed the year, its governmental funds reported combined fund balances of \$34,683,393, which reflects a decrease of \$14,009,283 (28.8%) from last year's ending fund balances of \$48,692,676. The primary reasons for the decrease in combined fund balances at the end of the 2024-25 fiscal year was the planned spending from the issuance of \$27,180,000 in revenue bonds in the prior year.

Governmental Fund Highlights

- The fund balance in the District's General Fund increased by \$1,773,733 (11.9%) from \$14,965,075 as of June 30, 2024 to \$16,738,808 as of June 30, 2025. Revenues of the General Fund increased \$2,237,711 (3.2%). The increase was primarily due to an increase in state revenues of \$1,372,844 (3.4%) and tuition revenues of \$460,438 (13.8%) offset by a decrease in federal revenue of \$69,417 (5.4%). Expenditures increased \$3,194,399 (4.8%), primarily in instruction.
- The fund balance in the Capital Projects Fund decreased by \$16,457,079 (62.4%) from \$26,365,605 as of June 30, 2024 to \$9,908,526 as of June 30, 2025 primarily due to the planned spending from the issuance of \$27,180,000 in revenue bonds in the prior year. Total expenditures were \$21,628,074 in 2024-25 compared to \$19,342,820 in 2023-24. The increase in expenditures were due to planned capital projects for buildings and building renovations.

Proprietary Fund Highlights

The net position of the District's proprietary funds increased during the year.

- The net position of the Nutrition Fund increased by \$143,686 (3.7%) during 2024-25 from the 2023-24 net position. Charges for services decreased from \$2,281,036 in 2023-24 to \$2,240,697 in 2024-25. Nonoperating revenues from federal sources decreased from \$1,102,137 in 2023-24 to \$1,065,125 in 2024-25.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

BUDGETARY HIGHLIGHTS

A schedule showing the original and final budget amounts compared to the District's actual financial activity is included in the required supplementary information section of this report.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds, except internal service funds and custodial funds. This is referred to as the certified budget. The certified budget may be amended during the year utilizing similar statutorily prescribed procedures. The District uses the GAAP (Generally Accepted Accounting Principles) method of accounting for budgeting purposes. Over the course of the year, the District amended its certified budget one time.

Pleasant Valley Community School District's normal practice is to amend the certified budget one time during each fiscal year. Iowa law requires that actual spending in each functional area of the budget does not exceed the amount budgeted to be spent in that functional area at any time during the fiscal year. The District's practice is to amend the budget each year prior to expenses going over budget in any of the functional areas. The District's practice is also to amend the budget to reflect the entire fund balances in each of the various budgeted funds being spent down to a zero balance at the end of the fiscal year. As a result, the District's certified budget as amended should always exceed actual expenditures for the year. This is the most significant reason for the amended budget showing \$47,873,632 more in expenditures than the original certified budget for the 2024-25 fiscal year.

The other main reason for the differences between the original budget and the amended budget are:

- The budget is amended to reflect additional allowed expenditures due to receipt of other miscellaneous income during the year that was not possible to predict when the certified budget was adopted.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

CAPITAL ASSETS AND DEBT ADMINISTRATION

Capital Assets

By the end of the 2024-25 fiscal year, the District had invested \$127,090,764 (net of accumulated depreciation and amortization of \$69,872,608 in a broad range of assets, including school buildings, athletic facilities, computer and audio-visual equipment and administrative offices. (See Figure A-6). This amount represents a net increase of \$15,646,261 or 14.0% from last year. Major capital asset projects in the current year include high school and junior high additions and renovations. (More detailed information about capital assets can be found in Note 4 to the financial statements). Total depreciation/amortization expense for the year was \$4,604,848.

Figure A-6 Capital Assets (Net of Depreciation and Amortization)

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change 2024-25
	2025	2024	2025	2024	2025	2024	
Land	\$ 2,298,692	\$ 2,298,692	\$ -	\$ -	\$ 2,298,692	\$ 2,298,692	0.0%
Buildings	79,632,723	82,665,497	-	-	79,632,723	82,665,497	-3.7%
Improvements other than buildings	5,863,670	5,525,269	-	-	5,863,670	5,525,269	6.1%
Furniture and equipment	1,844,645	1,549,227	476,569	506,109	2,321,214	2,055,336	12.9%
Construction in progress	36,478,777	18,317,847	-	-	36,478,777	18,317,847	99.1%
Intangible right to use lease equipment	194,756	266,031	-	-	194,756	266,031	-26.8%
Intangible right to use IT subscription	300,932	315,831	-	-	300,932	315,831	-4.7%
Total	\$ 126,614,195	\$ 110,938,394	\$ 476,569	\$ 506,109	\$ 127,090,764	\$ 111,444,503	14.0%

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

Long-Term Debt

As of June 30, 2025, the District had \$82,552,429 in long-term debt outstanding. This represents a decrease of \$8,253,012 (9.1%) over last year (See Figure A-7). In the 2024-25 fiscal year, the District made principal payments of \$5,994,890 and interest and fiscal charges payments of \$2,140,396 on its long-term debt including lease obligations and IT subscription obligations. More detailed information about the District's long-term debt is presented in Note 5 to the financial statements.

The constitution of the State of Iowa limits the amount of general obligation debt districts can issue to 5% of the assessed value of all taxable property within the District. The District's outstanding general obligation debt is significantly below its constitutional debt limit of \$236,264.415.

Payments of early retirement benefits come out of the District's Management Fund. Payments of compensated absences and lease obligations are primarily made from the District's General Fund.

Figure A-7 Outstanding Long-Term Obligations

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	Restated		Restated		Restated		
	2025	2024	2025	2024	2025	2024	2024-25
Revenue bonds	\$ 43,717,494	\$ 47,562,625	\$ -	\$ -	\$ 43,717,494	47,562,625	-8.1%
GO bonds	6,542,541	8,601,721	-	-	6,542,541	8,601,721	-23.9%
Lease obligation	200,266	270,577	-	-	200,266	270,577	-26.0%
IT subscription obligation	43,910	66,497	-	-	43,910	66,497	-34.0%
Equipment note	315,936	-	-	-	315,936	-	100.0%
Early retirement	427,376	524,343	-	-	427,376	524,343	-18.5%
Compensated absences	9,224,868	8,299,538	149,983	119,398	9,374,851	8,418,936	11.4%
OPEB liability	5,629,612	5,385,957	234,567	224,415	5,864,179	5,610,372	4.5%
Pension liability	15,755,805	19,373,138	310,071	377,232	16,065,876	19,750,370	-18.7%
Total	\$ 81,857,808	\$ 90,084,396	\$ 694,621	\$ 721,045	\$ 82,552,429	\$ 90,805,441	-9.1%

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- After many years of growing certified enrollment (the number of resident students in the District), the District has experienced three consecutive years of declining certified enrollment. The District's certified enrollment declined by 18.9 students on the certified enrollment taken in October, 2023. The District's certified enrollment declined by 40.4 students on the certified enrollment taken in October, 2024. The District's certified enrollment declined by 84.3 students on the certified enrollment taken in October, 2025. The state school foundation aid formula is a statutory funding mechanism based on the number of pupils in a school district which authorizes the maximum spending authority a school district may spend in the General Fund in any fiscal year. A decrease in certified enrollment can have a negative effect on a school district's General Fund revenues.
- The decline in certified enrollment is being at least partially offset by an increase in the net open enrollment in the District. For the certified enrollment taken in October, 2024, the District had 407 students open enrolled in and 285 students open enrolled out for a net open enrollment of 122 students. For the certified enrollment taken in October, 2025, the District had 423 students open enrolled in and 242 students open enrolled out for a net open enrollment of 181 students. Therefore, the net open enrollment in the District increased by 53 students on the October, 2025 certified enrollment. The net open enrollment had increased by 47 students on the October, 2024 certified enrollment. While a net open enrollment gain has a positive effect on a district's financial health, it is important to note that open enrollment revenue is considered miscellaneous income and a district's ongoing expenditures should not be funded with miscellaneous income.
- The Iowa Legislature set supplemental state aid (SSA) at 2% for the 2025-26 fiscal year. Funding at the state level continues to be a focal point for education. Low state supplemental aid increases are not satisfying cost-of-living increases, as well as increased costs for operations.
- The Students First Act, introduced by Governor Reynolds and signed into law on Jan. 24, 2024, makes state funding available to support the success of every K-12 student in Iowa. The bill establishes a framework and funding for education savings accounts (ESAs), which may be used by eligible families to cover tuition, fees, and other qualified education expenses at accredited nonpublic schools in Iowa. In the first year of Educational Savings Accounts (ESAs) in the state of Iowa (2023-24 fiscal year), the District had 48 resident students who qualified to receive the funding. The District received approximately \$1,218 of categorical funding per student for those 48 students in the 2024-25 fiscal year even though they are not attending our schools. In the second year of ESA's (2024-25 fiscal year), the District had 131 resident students who qualified to receive the funding. In the third year of ESA's (2025-26 fiscal year), the District has 272 resident students who qualified to receive the funding. Students First ESAs are available based on the following eligibility:
 - **Year 1: School Year 2023-2024**
- All entering kindergarten students
- All students enrolled in a public school
- A student enrolled in an accredited nonpublic school with a household income at or below 300% of the 2025 Federal Poverty Guidelines, \$90,000 for a family of four

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

○ Year 2: School Year 2024-2025

- All entering kindergarten students
- All students enrolled in a public school
- A student enrolled in an accredited nonpublic school with a household income at or below 400% of the 2025 Federal Poverty Guidelines that will be updated January 2025

○ Year 3: School Year 2025-2026

- All K-12 students in Iowa regardless of income
- It is unknown how many resident students of the District will receive funding for the ESAs in future years and exactly what financial effect that may have on the District in the future.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide the District's citizens, taxpayers, customers, and investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact Mike Clingingsmith, Chief Financial Officer, Pleasant Valley Community School District, 525 Belmont Rd., Bettendorf, Iowa 52722.

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Basic Financial Statements

Pleasant Valley Community School District

Statement of Net Position

June 30, 2025

	Governmental Activities	Business-Type Activities	Total
Assets			
Cash and pooled investments	\$ 47,818,885	\$ 4,287,089	\$ 52,105,974
Receivables:			
Property tax:			
Current year	111,051	-	111,051
Succeeding year	25,510,000	-	25,510,000
Accounts	946,147	779	946,926
Due from other governments	2,911,589	-	2,911,589
Inventories	-	17,895	17,895
Assets held for sale	-	107,578	107,578
Prepaid expenses	666,418	11,483	677,901
Capital assets:			
Nondepreciable	38,777,469	-	38,777,469
Depreciable, net	87,836,726	476,569	88,313,295
Total assets	204,578,285	4,901,393	209,479,678
Deferred Outflows of Resources:			
Pension related deferred outflows	6,181,859	121,658	6,303,517
OPEB related deferred outflows	1,309,253	54,552	1,363,805
Total deferred outflows of resources	7,491,112	176,210	7,667,322

	Governmental	Business-Type	
	Activities	Activities	Total
Liabilities			
Accounts payable	3,310,981	40,939	3,351,920
Salaries and benefits payable	7,125,287	1,672	7,126,959
Due to other governments	1,953,253	-	1,953,253
Claims incurred but not reported	512,604	-	512,604
Accrued interest	16,025	-	16,025
Unearned revenue	8,081	105,881	113,962
Long-term liabilities:			
Portion due within one year:			
Revenue bonds	3,935,131	-	3,935,131
General obligation bonds	2,119,180	-	2,119,180
Compensated absences	2,767,460	58,494	2,825,954
Early retirement	293,900	-	293,900
Lease obligation	58,519	-	58,519
Equipment note	315,936	-	315,936
IT subscription obligation	14,018	-	14,018
OPEB liability	123,611	5,150	128,761
Portion due after one year:			
Revenue bonds	39,782,363	-	39,782,363
General obligation bonds	4,423,361	-	4,423,361
Compensated absences	6,457,408	91,489	6,548,897
Early retirement	133,476	-	133,476
Lease obligation	141,747	-	141,747
IT subscription obligation	29,892	-	29,892
OPEB liability	5,506,001	229,417	5,735,418
Pension liability	15,755,805	310,071	16,065,876
Total liabilities	94,784,039	843,113	95,627,152
Deferred Inflows of Resources:			
Deferred revenue from succeeding year property tax	25,510,000	-	25,510,000
Pension related deferred inflows	10,008	197	10,205
OPEB related deferred inflows	1,495,516	62,313	1,557,829
Total deferred inflows of resources	27,015,524	62,510	27,078,034
Net Position			
Net investment in capital assets	83,402,589	476,569	83,879,158
Restricted for:			
Categorical funding	998,475	-	998,475
Management levy	4,560,106	-	4,560,106
Physical plant and equipment levy	625,818	-	625,818
School infrastructure	4,110,067	-	4,110,067
Other special revenue purposes	842,902	-	842,902
Debt service	197,151	-	197,151
Other	-	11,623	11,623
Unrestricted	(4,467,274)	3,683,788	(783,486)
Total net position	\$ 90,269,834	\$ 4,171,980	\$ 94,441,814

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Activities
Year Ended June 30, 2025

Functions/Programs	Expenses
Governmental activities:	
Instruction:	
Regular instruction	\$ 34,904,601
Special instruction	9,712,145
Other	7,431,469
	<u>52,048,215</u>
Support services:	
Student services	2,780,268
Instructional staff services	5,399,437
Administration services	7,027,373
Operation and maintenance of plant services	5,338,614
Transportation services	2,862,275
	<u>23,407,967</u>
Noninstructional programs	<u>36,999</u>
Other:	
Long term debt interest	1,847,666
AEA flowthrough	2,197,984
	<u>4,045,650</u>
Total governmental activities	<u>79,538,831</u>
Business-type activities:	
Noninstructional programs:	
Student construction	-
Food service operations	3,304,100
Total business-type activities	<u>3,304,100</u>
Total	<u>\$ 82,842,931</u>
General revenues:	
Property tax levied for:	
General purposes	
Capital outlay	
Other specific purposes	
Utility excise tax	
Other tax	
Statewide sales and services tax	
Unrestricted state grants	
Revenue in lieu of taxes	
Unrestricted investment earnings	
Other, gain on sale of capital assets	
Total general revenues	
Transfers	
Total general revenues and transfers	
Change in net position	
Net position, beginning of year, as restated	
Net position, end of year	
See Notes to Basic Financial Statements.	

Program Revenues			Net (Expense) Revenue and Changes in Net Position		
Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	Governmental Activities	Business-Type Activities	Total
\$ 3,848,991	\$ 9,251,673	\$ -	\$ (21,803,937)	\$ -	\$ (21,803,937)
619,645	22,502	-	(9,069,998)	-	(9,069,998)
237,603	61,352	-	(7,132,514)	-	(7,132,514)
4,706,239	9,335,527	-	(38,006,449)	-	(38,006,449)
-	-	-	(2,780,268)	-	(2,780,268)
504,661	-	-	(4,894,776)	-	(4,894,776)
594,054	-	12,500	(6,420,819)	-	(6,420,819)
38,963	-	-	(5,299,651)	-	(5,299,651)
-	68,728	-	(2,793,547)	-	(2,793,547)
1,137,678	68,728	12,500	(22,189,061)	-	(22,189,061)
-	-	-	(36,999)	-	(36,999)
-	-	-	(1,847,666)	-	(1,847,666)
-	2,197,984	-	-	-	-
-	2,197,984	-	(1,847,666)	-	(1,847,666)
5,843,917	11,602,239	12,500	(62,080,175)	-	(62,080,175)
-	12,500	-	-	12,500	12,500
2,240,697	1,084,270	-	-	20,867	20,867
2,240,697	1,096,770	-	-	33,367	33,367
\$ 8,084,614	\$ 12,699,009	\$ 12,500	(62,080,175)	33,367	(62,046,808)
			23,148,379	-	23,148,379
			3,802,517	-	3,802,517
			1,794,406	-	1,794,406
			620,068	-	620,068
			1,603	-	1,603
			7,324,934	-	7,324,934
			31,335,685	-	31,335,685
			222,162	-	222,162
			2,091,275	175,119	2,266,394
			4,019	-	4,019
			70,345,048	175,119	70,520,167
			52,300	(52,300)	-
			70,397,348	122,819	70,520,167
			8,317,173	156,186	8,473,359
			81,952,661	4,015,794	85,968,455
			\$ 90,269,834	\$ 4,171,980	\$ 94,441,814

Pleasant Valley Community School District

**Balance Sheet
Governmental Funds
June 30, 2025**

	General	Capital Projects	Nonmajor	Total
Assets				
Cash and pooled investments	\$ 23,824,306	\$ 11,566,484	\$ 7,941,140	\$ 43,331,930
Receivables:				
Property tax:				
Current year	89,494	14,578	6,979	111,051
Succeeding year	20,040,000	3,700,000	1,770,000	25,510,000
Accounts	8,983	-	4,075	13,058
Due from other governments	2,143,444	768,145	-	2,911,589
Prepaid items	136,765	338,172	191,481	666,418
Total assets	\$ 46,242,992	\$ 16,387,379	\$ 9,913,675	\$ 72,544,046
Liabilities, Deferred Inflows of Resources, and Fund Balances				
Liabilities:				
Accounts payable	\$ 396,902	\$ 2,778,853	\$ 88,277	\$ 3,264,032
Salaries and benefits payable	7,105,948	-	19,339	7,125,287
Due to other governments	1,953,253	-	-	1,953,253
Unearned revenue	8,081	-	-	8,081
Total liabilities	9,464,184	2,778,853	107,616	12,350,653
Deferred Inflows of Resources:				
Unavailable revenue:				
Succeeding year property tax	20,040,000	3,700,000	1,770,000	25,510,000
Total deferred inflows of resources	20,040,000	3,700,000	1,770,000	25,510,000
Fund balances:				
Nonspendable	136,765	338,172	191,481	666,418
Restricted for:				
Categorical funding	998,475	-	-	998,475
Management levy	-	-	4,377,910	4,377,910
Physical plant and equipment levy	-	345,845	-	345,845
School infrastructure	-	9,224,509	-	9,224,509
Student activity purposes	-	-	833,617	833,617
Debt service	-	-	2,633,051	2,633,051
Assigned primarily for transportation	3,648,794	-	-	3,648,794
Unassigned	11,954,774	-	-	11,954,774
Total fund balances	16,738,808	9,908,526	8,036,059	34,683,393
Total liabilities, deferred inflows of resources, and fund balances	\$ 46,242,992	\$ 16,387,379	\$ 9,913,675	\$ 72,544,046

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Reconciliation of Total Governmental Fund Balances to Net

Position of Governmental Activities

June 30, 2025

Total fund balances of governmental funds	\$ 34,683,393
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Amounts reported for governmental activities in the Statement of Net Position are different because:

Capital assets used in governmental activities are not financial resources and, therefore, are not reported as assets in the governmental funds.	126,614,195
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The Internal Service Fund is used to charge costs of the District's self-funded insurance plan to the governmental funds. The net position of the Internal Service Fund is therefore included under governmental activities.	4,860,491
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Pension and OPEB related deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore, are not reported in the governmental funds, as follows:

Deferred outflows of resources related to pension	6,181,859
Deferred inflows of resources related to pension	(10,008)
Deferred inflows of resources related to OPEB	(1,495,516)
Deferred outflows of resources related to OPEB	1,309,253

Long-term liabilities, including bonds payable and compensated absences, are not due and payable in the current period and, therefore, are not reported as liabilities in the governmental funds.

Revenue bonds	(42,765,000)
General obligation bonds	(6,410,000)
Premium on issuance of bonds	(1,085,035)
Accrued interest	(16,025)
Lease obligations	(200,266)
IT subscription obligations	(43,910)
Equipment note	(315,936)
Early retirement	(427,376)
Compensated absences	(9,224,868)
OPEB liability	(5,629,612)
Pension liability	(15,755,805)

Net position of governmental activities

\$ 90,269,834

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Revenues, Expenditures and Changes in Fund Balances

Governmental Funds

Year Ended June 30, 2025

	General	Capital Projects	Nonmajor	Total
Revenues:				
Local sources:				
Property tax	\$ 23,148,379	\$ 3,802,517	\$ 1,794,406	\$ 28,745,302
Utility excise tax	490,623	85,435	44,010	620,068
Other tax	1,268	221	114	1,603
Tuition	3,808,293	-	-	3,808,293
Other	1,521,254	975,610	1,508,686	4,005,550
State sources	41,497,287	7,355,544	15,768	48,868,599
Federal sources	1,220,725	395,696	-	1,616,421
Total revenues	71,687,829	12,615,023	3,362,984	87,665,836
Expenditures:				
Current:				
Instruction	45,775,294	980,738	1,437,496	48,193,528
Support services:				
Student services	2,851,940	-	4,823	2,856,763
Instructional staff services	5,503,832	-	52,580	5,556,412
Administration services	6,643,830	53,715	93,924	6,791,469
Operation and maintenance of plant services	4,093,435	526,826	875,147	5,495,408
Transportation services	2,854,497	-	9,581	2,864,078
	21,947,534	580,541	1,036,055	23,564,130
Noninstructional programs	1,604	7,479	27,916	36,999
Other expenditures:				
Facilities acquisition	-	20,021,616	-	20,021,616
AEA flowthrough	2,197,984	-	-	2,197,984
	2,197,984	20,021,616	-	22,219,600
Debt service:				
Principal	-	-	5,994,890	5,994,890
Interest and fiscal charges	-	37,700	2,102,696	2,140,396
	-	37,700	8,097,586	8,135,286
Total expenditures	69,922,416	21,628,074	10,599,053	102,149,543
Excess (deficiency) of revenues over (under) expenditures	1,765,413	(9,013,051)	(7,236,069)	(14,483,707)

	General	Capital Projects	Nonmajor	Total
Other financing sources (uses):				
Issuance of equipment lease	-	407,928	-	407,928
Interfund transfers in	52,300	2,552,091	8,132,223	10,736,614
Interfund transfers (out)	(58,176)	(10,404,047)	(222,091)	(10,684,314)
Proceeds from sale of capital assets	14,196	-	-	14,196
Total other financing sources (uses)	8,320	(7,444,028)	7,910,132	474,424
Net change in fund balance	1,773,733	(16,457,079)	674,063	(14,009,283)
Fund balances, beginning of year	14,965,075	26,365,605	7,361,996	48,692,676
Fund balances, end of year	<u>\$ 16,738,808</u>	<u>\$ 9,908,526</u>	<u>\$ 8,036,059</u>	<u>\$ 34,683,393</u>

See Notes to Basic Financial Statements.

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Pleasant Valley Community School District

**Reconciliation of the Statement of Revenues, Expenditures and Changes in
Fund Balances of Governmental Funds to the Statement of Activities
Year Ended June 30, 2025**

Net change in fund balances - total governmental funds \$ (14,009,283)

Amounts reported for governmental activities in the Statement of
Activities are different because:

Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures. However, those costs are not reported in the Statement of Net Position and are allocated over their estimated useful lives as depreciation expense in the Statement of Activities. The amounts of capital outlays and depreciation/amortization expense in the year are as follows:

Capital outlay	\$ 20,212,721	
Depreciation and amortization expense	(4,526,743)	15,685,978
Proceeds from the sale of capital assets	(14,196)	
Gain on sale of capital assets	4,019	(10,177)

The increase in net position of the Internal Service Fund represents an overcharge to the governmental funds and is incorporated into the change in net position of governmental activities. 297,489

Proceeds from issuing long-term liabilities provide current financial resources to governmental funds, but issuing debt increases long-term liabilities is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the Statement of Net Position

Repayment of revenue bond and general obligation bond principal	5,810,000	
Amortization of premium	94,311	
Payment of lease obligations	70,311	
Payment of IT subscription liability	22,587	
Issuance of equipment note	(407,928)	
Payment of equipment note	91,992	
Interest expense	198,419	
Pension expense	1,857,206	
Early retirement	96,967	
Compensated absences	(925,330)	
OPEB liability	(555,369)	6,353,166

Change in net position of governmental activities	\$ 8,317,173
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See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Net Position

Proprietary Funds

June 30, 2025

	Business-Type Activities, Enterprise Funds			Governmental
	Nonmajor			Activities,
	Student			Internal
	Nutrition	Construction	Total	Service Fund
Assets				
Current:				
Cash and cash equivalents	\$ 4,287,089	\$ -	\$ 4,287,089	\$ 4,486,955
Accounts receivable	779	-	779	933,089
Due from other governments	-	-	-	-
Inventories	17,895	-	17,895	-
Prepaid items	11,483	-	11,483	-
Assets held for sale	-	107,578	107,578	-
Total current assets	4,317,246	107,578	4,424,824	5,420,044
Noncurrent:				
Capital assets, net of accumulated depreciation	476,569	-	476,569	-
Total assets	4,793,815	107,578	4,901,393	5,420,044
Deferred Outflows of Resources:				
Pension related deferred outflows	121,658	-	121,658	-
OPEB related deferred outflows	54,552	-	54,552	-
Total deferred outflows of resources	176,210	-	176,210	-
Liabilities				
Current:				
Accounts payable	31,082	9,857	40,939	46,949
Salaries and benefits payable	1,672	-	1,672	-
Claims incurred but not reported	-	-	-	512,604
Unearned revenue, other	105,881	-	105,881	-
Compensated absences	58,494	-	58,494	-
OPEB liability	5,150	-	5,150	-
Total current liabilities	202,279	9,857	212,136	559,553
Noncurrent:				
Compensated absences	91,489	-	91,489	-
OPEB liability	229,417	-	229,417	-
Pension liability	310,071	-	310,071	-
Total noncurrent liabilities	630,977	-	630,977	-
Total liabilities	833,256	9,857	843,113	559,553
Deferred Inflows of Resources:				
Pension related deferred inflows	197	-	197	-
OPEB related deferred inflows	62,313	-	62,313	-
Total deferred inflows of resources	62,510	-	62,510	-
Net Position				
Net investment in capital assets	476,569	-	476,569	-
Restricted, for food service	11,623	-	11,623	-
Unrestricted	3,586,067	97,721	3,683,788	4,860,491
Total net position	\$ 4,074,259	\$ 97,721	\$ 4,171,980	\$ 4,860,491

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

**Statement of Revenues, Expenses and Changes in Net Position
Proprietary Funds
Year Ended June 30, 2025**

	Business-Type Activities, Enterprise Funds			
	Nonmajor			Internal
	Nutrition	Student Construction	Total	Service Fund
Operating revenues:				
Local sources, charges for services	\$ 2,240,697	\$ -	\$ 2,240,697	\$ 7,301,267
Operating expenses:				
Support services:				
Purchased services	-	-	-	7,088,425
Other	-	-	-	49,202
	-	-	-	7,137,627
Noninstructional programs:				
Salaries	902,645	-	902,645	-
Benefits	261,800	-	261,800	-
Purchased services	40,251	-	40,251	-
Supplies	2,014,551	-	2,014,551	-
Depreciation	78,105	-	78,105	-
Other	6,748	-	6,748	-
	3,304,100	-	3,304,100	-
Total operating expenses	3,304,100	-	3,304,100	7,137,627
Operating income (loss)	(1,063,403)	-	(1,063,403)	163,640
Nonoperating revenues:				
Interest on investments	175,119	-	175,119	133,849
Local sources	-	12,500	12,500	-
State sources	19,145	-	19,145	-
Federal sources	1,065,125	-	1,065,125	-
Total nonoperating revenues	1,259,389	12,500	1,271,889	133,849
Income before transfers	195,986	12,500	208,486	297,489
Transfers out	(52,300)	-	(52,300)	-
Change in net position	143,686	12,500	156,186	297,489
Net position, beginning of year, as restated	3,930,573	85,221	4,015,794	4,563,002
Net position, end of year	\$ 4,074,259	\$ 97,721	\$ 4,171,980	\$ 4,860,491

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Cash Flows

Proprietary Funds

Year Ended June 30, 2025

	<u>Business-Type Activities, Enterprise Funds</u>			
		<u>Nonmajor</u>		
		<u>Student</u>		
	Nutrition	Construction	Total	Internal Service Fund
Cash flows from operating activities:				
Cash received from sale of lunches and breakfasts	\$ 2,158,648	\$ -	\$ 2,158,648	\$ -
Cash received from miscellaneous operating activities	-	-	-	7,263,094
Cash payments to employees for services	(1,145,894)	-	(1,145,894)	-
Cash payments to suppliers for goods or services	(1,789,123)	(12,500)	(1,801,623)	(7,290,577)
Net cash provided by (used in) operating activities	(776,369)	(12,500)	(788,869)	(27,483)
Cash flows from noncapital financing activities:				
Transfers to other funds	(52,300)	-	(52,300)	-
Proceeds from other funds	(795)	-	(795)	-
Local grants received	-	12,500	12,500	-
State grants received	19,145	-	19,145	-
Federal grants received	835,782	-	835,782	-
Net cash provided by noncapital financing activities	801,832	12,500	814,332	-
Cash flows (used in) capital related financing activities,				
Acquisition of capital assets	(48,565)	-	(48,565)	-
Net cash (used in) capital related financing activities	(48,565)	-	(48,565)	-
Cash flows from investing activities,				
interest on investments	175,119	-	175,119	133,849
Net increase in cash and cash equivalents	152,017	-	152,017	106,366
Cash and cash equivalents, beginning of year	4,135,072	-	4,135,072	4,380,589
Cash and cash equivalents, end of year	<u>\$ 4,287,089</u>	<u>\$ -</u>	<u>\$ 4,287,089</u>	<u>\$ 4,486,955</u>

(Continued)

Pleasant Valley Community School District

Statement of Cash Flows (Continued)

Proprietary Funds

Year Ended June 30, 2025

	Business-Type Activities, Enterprise Funds			
	Nonmajor		Total	Internal Service Fund
	Nutrition	Student Construction		
Reconciliation of operating income (loss) to net cash (used in) operating activities:				
Operating income (loss)	\$(1,063,403)	\$ -	\$(1,063,403)	\$ 163,640
Adjustments to reconcile operating income (loss) to net cash (used in) operating activities:				
Depreciation	78,105	-	78,105	-
Commodities used	242,285	-	242,285	-
(Increase) decrease in accounts receivable	524	-	524	(38,173)
Decrease in inventories	2,291	-	2,291	-
Decrease in prepaid items	4	-	4	-
(Increase) in assets held for resale	-	(2,685)	(2,685)	-
Increase (decrease) in accounts payable	27,847	(9,815)	18,032	44,568
(Decrease) in salaries and benefits payable	(1,001)	-	(1,001)	-
Increase in compensated absences	30,584	-	30,584	-
Increase in OPEB liability and related deferrals	23,140	-	23,140	-
(Decrease) in pension and related deferrals	(34,172)	-	(34,172)	-
(Decrease) in claims incurred but not reported	-	-	-	(197,518)
(Decrease) in unearned revenue	(82,573)	-	(82,573)	-
Net cash (used in) operating activities	\$ (776,369)	\$ (12,500)	\$ (788,869)	\$ (27,483)
Schedule of noncash items:				
Noncapital financing activities, federal commodities	\$ 242,285	\$ -	\$ 242,285	\$ -

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Fiduciary Net Position

Fiduciary Fund

June 30, 2025

	<u>Custodial</u>
Assets	
Cash and pooled investments	<u>\$ 40,085</u>
Liabilities	
Accounts payable	<u>\$ 2,731</u>
Net position	<u><u>\$ 37,354</u></u>

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Changes in Fiduciary Net Position

Fiduciary Fund

Year Ended June 30, 2025

	<u>Custodial</u>
Additions	
Contributions	<u>\$ 71,271</u>
Total additions	<u>71,271</u>
Deductions	
Administrative expenses	<u>67,375</u>
Total deductions	<u>67,375</u>
Change in net position	3,896
Net position, beginning of the year	<u>33,458</u>
Net position, end of the year	<u><u>\$ 37,354</u></u>

See Notes to Basic Financial Statements.

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Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies

Pleasant Valley Community School District (the District) is a political subdivision of the state of Iowa and operates public schools for children in grades kindergarten through twelve. The District also operates a preschool program. The geographic area served includes the Township of Pleasant Valley, Iowa, the City of LeClaire, Iowa, portions of the City of Bettendorf, Iowa and portions of the agricultural territory of Scott County. The District is governed by a Board of Education whose members are elected on a nonpartisan basis.

The District's financial statements are prepared in conformity with U.S. generally accepted accounting principles as prescribed by the Governmental Accounting Standards Board.

Reporting entity:

For financial reporting purposes, Pleasant Valley Community School District has included all funds, organizations, agencies, boards, commissions and authorities. The District has also considered all potential component units for which it is financially accountable and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on, the District. Pleasant Valley Community School District has no component units which meet the Governmental Accounting Standards Board criteria.

Jointly governed organizations: The District participates in a jointly governed organization that provides services to the District but does not meet the criteria of a joint venture since there is no ongoing financial interest or responsibility by the participating governments. The District is a member of the Scott County Assessor's Conference Board.

Basis of presentation:

District-wide financial statements: The Statement of Net Position and the Statement of Activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. Interfund services provided and used are not eliminated in the process of consolidation. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for service.

The Statement of Net Position presents the District's nonfiduciary assets, deferred outflows of resources and liabilities and deferred inflows of resources, with the difference reported as net position. Net position is reported in three categories:

Net investment in capital assets consists of capital assets, including restricted capital assets, net of accumulated depreciation and reduced by outstanding balances for bonds, notes and other debt attributable to the acquisition, construction or improvements of those assets.

Restricted net position results when constraints placed on net position use are either externally imposed by creditors, grantors, contributors or laws and regulations of other governments or imposed by law through constitutional provisions or enabling legislation.

Unrestricted net position consists of net position that does not meet the definition of the two preceding categories. Unrestricted net position often has constraints on resources imposed by management which can be removed or modified.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

The Statement of Activities demonstrates the degree to which the direct expenses of a given function or segments are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customer or applicants who purchase, use or directly benefit from goods, services or privileges provided by a given function and 2) grants, contributions and interest restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenues are reported instead as general revenues.

Fund financial statements: Separate financial statements are provided for governmental, proprietary and fiduciary funds, even though the latter are excluded from the District-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as nonmajor governmental funds.

The District reports the following major governmental funds:

The General Fund is the general operating fund of the District. All general tax revenues and other revenues not allocated by law or contractual agreement to some other fund are accounted for in this fund. From the fund are paid the general operating expenditures, including instructional, support and other costs.

The Capital Projects Fund is used to account for all resources used in the acquisition and construction of capital facilities.

The other governmental funds of the District are considered nonmajor and are as follows:

Special Revenue Funds: Are used to account for the revenue sources that are legally restricted to expenditures for specific purposes:

The Management Fund accounts for tort liability insurance premiums, unemployment compensation insurance claims and early retirement incentive payments.

The Student Activity Fund accounts for money held by the District on behalf of the students who have raised these funds and are responsible for their disposition for co-curricular to extracurricular activities of the District.

Debt Service Fund: Accounts for the accumulation of resources for, and the payment of, long- term debt principal, interest and related costs. Revenue of the fund primarily consists of local property taxes.

Proprietary fund types are used to account for the District's ongoing organizations and activities which are similar to those often found in the private sector. The measurement focus is upon income determination, financial position, and cash flows. The District has two types of proprietary funds, enterprise funds and an internal service fund.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Enterprise funds are used to account for those operations that are financed and operating in a manner similar to private business or where the District has decided that the determination of revenues earned, costs incurred and/or net income is necessary for management accountability.

The Nutrition Fund is a major enterprise fund which accounts for the food service operations of the District.

The District's nonmajor enterprise fund is the Student Construction Fund accounts for grant funding to build an aircraft with neighboring districts. The aircraft will be built and held for a year under FAA guidelines and then sold with the proceeds from the sale of the aircraft used to build the next aircraft.

The Internal Service Fund is used to account for goods or services provided by one department to other departments of the District on a cost reimbursement basis. The District's Internal Service Fund is used to account for the premium and claim payments for the self-insured health insurance plans for District employees.

The District also reported fiduciary funds which focus on net position and changes in net position. The District's fiduciary funds include the following:

The Custodial Fund is used to account for assets held by the District as an agent for individuals, private organizations and other governments. These are funds of District employee for purchases of pop, funeral flowers, and related expenditures.

Measurement focus and basis of accounting:

The District-wide financial statements and the proprietary and fiduciary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days after year-end.

Property tax, intergovernmental revenues (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measurable and available only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of long-term debt and acquisitions under leases and subscription agreements are reported as other financing sources.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenues. Thus, when program expenses are incurred, there is both restricted and unrestricted net position available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs and then general revenues.

Proprietary funds distinguished operating revenues and expenses from nonoperating items. Operating revenues and expense generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's enterprise fund is charges to customers for sales and services. Operating expenses for enterprise funds include the cost of sales and services, administrative expenses and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Assets, deferred outflows of resources, liabilities, deferred inflows of resources and fund equity:

The following accounting policies are followed in preparing the financial statements:

Cash, pooled investments and cash equivalents: The cash balances of most District funds are pooled and invested. Investments are stated at fair value except for short-term nonnegotiable certificates of deposit, which are stated at cost.

For purposes of the statement of cash flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash, and, at the day of purchase, have maturity date no longer than three months.

Property tax receivable: Property tax in governmental funds is accounted for using the modified accrual basis of accounting. Property tax receivable is recognized in these funds on the levy or lien date, which is the date that the tax asking is certified by the Board of Education. Current year property tax receivable represents unpaid taxes from the current year. The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded, the related revenue is a deferred inflow of resources in both the District-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied. The property tax revenue recognized in these funds was due and collectible in September and March of the fiscal year with 1½ percent per month penalty for delinquent payments; is based on January 1, 2023 assessed property valuations; is for the tax accrual period July 1, 2024 through June 30, 2025 and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April 2024.

Due from other governments: Due from other governments represents amounts due from the state of Iowa, various shared revenues, grants and reimbursements from other governments.

Inventories: Inventories are valued at cost using the first-in, first-out method for purchased items and governmental commodities. Inventories of proprietary funds are recorded as expenses when consumed rather than when purchased or received.

Prepaid items: The District accounts for the prepaid items by using the purchases method.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Capital assets: Capital assets, which include property, furniture and equipment, are reported in the applicable governmental or business-type activities columns in the District-wide Statement of Net Position. Capital assets are recorded at historical cost. Donated capital assets are recorded at acquisition value at the date of donation. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized. Capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of two years.

Asset Class	Amount
Land	\$ 1
Buildings	25,000
Improvements other than buildings	25,000
Intangibles	100,000
Furniture and equipment:	
School Nutrition Fund equipment	300
Other furniture and equipment	2,500

Capital assets are depreciated using the straight-line method of depreciation over the following estimated useful lives:

Asset Class	Estimated Useful Lives
Buildings	20 - 40 years
Improvements other than buildings	15 - 40 years
Furniture and equipment	5 - 15 years

Salaries and benefits payable: Payroll and related expenses for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities.

Unearned revenue: Unearned revenue consists primarily of school registration fees, activity fees and meal revenues collected for the programs and services in the next school year.

Compensated absences: District employees accumulate a limited amount of earned but unused vacation, sick leave, and personal leave hours for subsequent use or for payment upon termination, death or retirement. A liability is recorded when each of the following have occurred: the leave is attributable to services already rendered, the leave accumulates and carries forward from one reporting period to the next and the leave is more likely than not to be used for time off or otherwise paid in cash or settled through noncash means.

The District estimates the compensated absences liability for leave benefits that are more likely than not to be used or otherwise paid or settled based on historical information on employees use or payment of the benefits provided. The liability is measured using the pay rates in effect at year-end, the measurement date, and includes salary-related payments that are directly and incrementally associated with the leave liability measurement.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Leases: The District is a lessee for noncancellable leases of equipment. The District recognizes a lease liability and an intangible right-to-use lease asset in the governmental activities of the government-wide financial statements.

At the commencement of a lease, the District initially measures the lease liability at the present value of payments expected to be made during the lease term. Subsequently, the lease liability is reduced by the principal portion of the lease payments made. The lease asset is initially measured as the initial amount of the lease liability, adjusted for lease payments made at or before the lease commencement date, plus certain initial costs to place the asset in service. Subsequently, the lease asset is amortized on a straight-line basis over the life of the lease.

Key estimates and judgments related to leases include how the District determines (1) the discount rate it uses to discount the expected lease payments to present value, (2) lease term, and (3) lease payments.

The District uses the interest rate charged by the lessor as the discount rate. When the interest rate charged by the lessor is not provided, the District generally uses its estimated incremental borrowing rate as the discount rate for leases.

The lease term includes the noncancellable period of the lease. Lease payments included in the measurement of the lease liability are composed of fixed payments and purchase option price that the District is reasonably certain to exercise.

The District monitors changes in circumstances that would require a remeasurement of its lease and will remeasure the lease asset and liability if certain changes occur that are expected to significantly affect the amount of the lease liability.

Lease assets are reported with other capital assets and lease liabilities are reported with long-term debt on the statement of net position.

Subscription-Based Information Technology Arrangements (SBITA) – The District has entered into a contract that conveys control of the right to use information technology software. The District has recognized an IT subscription liability and an intangible right-to-use IT subscription asset in the government-wide financial statements.

At the commencement of the IT subscription term, the District initially measures the subscription liability at the present value of payments expected to be made during the subscription term. Subsequently, the IT subscription liability is reduced by the principal portion of payments made. The right-to-use IT subscription asset is initially measured as the sum of the initial IT subscription liability, adjusted for payments made at or before the commencement date, plus capitalized implementation costs less any incentives received from the SBITA vendor at or before the commencement of the subscription term. Subsequently, the right-to-use IT subscription asset is amortized on a straight-line basis over its useful life.

Key estimates and judgments related to IT subscription arrangements include how the District determines the discount rate it uses to discount the expected payments to present value, term and payments.

The District uses the interest rate charged by the IT subscription vendor as the discount rate. When the interest rate charged by the vendor is not provided, the District generally uses its estimated incremental borrowing rate as the discount rate.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

The IT subscription term includes the noncancellable period of the subscription. Payments included in the measurement of the liability are composed of fixed payments.

The District monitors changes in circumstances that would require a remeasurement of its IT subscription and will remeasure the right-to-use IT subscription asset and liability if certain changes occur that are expected to significantly affect the amount of the subscription liability.

Right-to-use IT subscription assets are reported with other capital assets and IT subscription liabilities are reported with long-term debt on the statement of net position.

Total OPEB Liability: For purposes of measuring total OPEB liability, deferred outflows of resources related to OPEB and OPEB expense, information has been determined based on the District's actuary report. For this purpose, benefit payments are recognized when due and payable in accordance with the benefit terms. The total OPEB liability attributable to the governmental activities will be paid primarily by the General Fund and the Enterprise Fund.

Pensions — For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Cash flows: For the purpose of cash flows, the District considers all highly liquid investments with a maturity of three months or less when purchased to be cash equivalents.

Deferred outflows/inflows of resources: In addition to assets, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net assets that applies to a future period(s) and so will not be recognized as an outflow of resources (expenses/expenditures) until then. The District's deferred outflows of resources consist of unrecognized items not yet charged to pension expense and contributions from the employer after the measurement date but before the end of the employer's reporting period and OPEB related deferred outflows.

In addition to liabilities, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of net assets that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. The District's deferred inflows of resources consist of deferred revenue, unrecognized items not yet charged to pension expense and other postemployment benefits.

The District reports unavailable revenue in the governmental funds balance sheet from grants and property tax. This amount is deferred and recognized as an inflow of resources in the period that the amounts become available. In the District's government-wide statements, only the succeeding year property tax revenue remains as a deferred inflow of resources under the full accrual basis of accounting and will become an inflow in the year for which levied. The District also reports pension and OPEB related deferred outflows in the government-wide statements and the proprietary fund statements.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Fund equity: In the governmental fund financial statements fund balances are classified as follows:

Nonspendable: Balances that cannot be spent because they are not expected to be converted to cash or they are legally or contractually required to remain intact.

Restricted: Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Committed: Amounts which can be used only for specific purposes determined pursuant to constraints formally imposed by the Board of Education through resolution approved prior to year-end. Those committed amounts cannot be used for any other purpose unless the Board of Education removes or changes the specified use by taking the same action it employed to commit those amounts.

Assigned: Amounts in the assigned fund balance classification are intended to be used by the District for specific purposes but do not meet the criteria to be classified as committed. The authority to assign fund balances has been delegated to the Chief Financial Officer by the Board of Education. The District has assigned \$3,487,960 primarily for transportation. Unlike commitments, assignments only exist temporarily. An additional action does not normally have to be taken for the removal of an assignment.

Unassigned: All amounts not included in other spendable classifications. The General Fund is the only fund that would report a positive amount in unassigned fund balance. Residual deficit amounts of other governmental funds would also be reported as unassigned.

The District's flow of funds assumption prescribes that the funds with the highest level of constraint are expended first. When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy is to first apply the expenditure toward restricted fund balance and then to less restrictive classifications –assigned and then unassigned fund balances.

Net position: In proprietary funds, fiduciary funds, and government-wide financial statements, net position represents the difference between assets, deferred outflows of resources, liabilities, and deferred inflows of resources. Net investment in capital assets, consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction or improvement of those assets. As of June 30, 2025, the District had \$10,387,394 of unspent bond proceeds. Net position is reported as restricted when there are limitations imposed on their use through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors or laws or regulations of other governments.

Net position restricted by enabling legislation as of June 30, 2025 consists of \$998,475 for categorical funding, \$4,560,106 for management levy purposes, \$625,818 for physical plant and equipment levy, \$4,110,067 for school infrastructure, \$842,902 for student activity purposes, \$197,151 for debt service and \$11,623 for food service.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Net position flow assumption: Sometimes the District will fund outlays for a particular purpose from both restricted (e.g. restricted bond or grant proceeds) and unrestricted resources. In order to calculate the amounts to report as restricted-net position and unrestricted-net position in the government-wide and proprietary fund financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the District's policy to consider restricted-net position to have been depleted before unrestricted-net position is applied.

Interfund activity: Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after nonoperating revenues/expenses in proprietary funds. Repayments from funds responsible for particular expenditures/expenses to the funds that initially paid for them are not presented on the financial statements.

Estimates: The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Budgets and budgetary control:

In accordance with the Code of Iowa, the District's Board of Education annually adopts a single district-wide budget and approves the related appropriations following required public notice and hearing for all funds. The budgets and related appropriations as well as the financial statements are prepared on the modified accrual basis or accrual basis of accounting. The budget may be amended during the year utilizing similar statutorily prescribed procedures. Formal and legal budgetary control for the certified budget is based upon four major classes of disbursement known as functional areas, not by fund. These four functional areas are instruction, support services, noninstructional programs and other expenditures. The Code of Iowa also provides that District disbursements in the General Fund may not exceed the amount authorized by the school finance formula. The budgetary comparison and related disclosures are reported as Required Supplementary Information. During the year ended June 30, 2025, expenditures did not exceed the amounts budgeted.

Note 2. Cash and Pooled Investments

The District is authorized by statute to invest public funds in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvement certificates of a drainage district.

As of June 30, 2025, the book balance of the District's cash deposits at financial institutions and deposits totaled \$39,332,857 and the bank balances totaled \$39,368,124. The District also had \$12,090 cash on hand and \$23,177 cash with fiscal agent. The fair value measurement for the District's treasury bills of \$915,735 are valued by the broker based on quoted market prices of similar assets (Level 2 inputs.)

The District does not have a separate interest rate risk policy from state statutes.

The District categorizes its fair value measurements within the fair value hierarchy established by generally accepted accounting principles. The hierarchy is based on the valuation inputs used to measure the fair value of the asset. Level 1 inputs are quoted prices in active markets for identical assets; Level 2 inputs are significant other observable inputs; Level 3 inputs are significant unobservable inputs.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 2. Cash and Pooled Investments (Continued)

As of June 30, 2025, the District's investments were as follows:

	Fair Value	Investment Maturities (in Years)				Level Input	Rating	
		Less than 1	1-5	6-10	>10		Standard & Poor	Fitch
Investment Pools, Iowa Schools Joint								
Investment Trust, DVF	\$ 6,529,408	\$ 6,529,408	\$ -	\$ -	\$ -	N/A	AAAm	N/A
Treasury Bills	915,735	915,735	-	-	-	2	AA+	AAA
Certificate of Deposits	5,332,792	5,332,792	-	-	-	N/A	N/A	N/A
Total	<u>\$ 12,777,935</u>	<u>\$ 12,777,935</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>			

At June 30, 2025, the District had investments in the Iowa Schools Joint Investment Trust (ISJIT) Diversified Fund and money market funds which are valued at amortized cost of \$6,529,408 pursuant to Rule 2a-7 under the investment Company Act of 2040. There were no limitations or restrictions on withdrawals of the ISJIT investments.

Credit Risk: Generally, credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. This is measured by the assignment of rating by a nationally recognized statistical rating organization. The District has no formal investment policy that would limit its investment choices to items other than those allowed by Iowa law. The credit ratings related to the Iowa Schools Joint Investment Trust and Treasury Bills are disclosed in the chart above.

Concentration of Credit Risk: The District's investment policy does not allow for a prime bankers' acceptance or commercial paper and other corporate debt balances to be greater than 10 percent of its total deposits and investments. The policy also limits the amount that can be invested in a single issue to 5 percent of its total deposits and investments. The District did not hold any commercial paper or other corporate debt as of June 30, 2025.

Custodial Credit Risk Deposits: In the case of deposits, this is the risk that in the event of a bank failure, the District's deposits may not be returned to it. The District's deposits are entirely covered by federal depository insurance of by the State Sinking Fund in accordance with Chapter 12C of the Code of Iowa. This chapter provides for additional assessments against the depositories to ensure there will be no loss of public funds.

Custodial Credit Risk Investments: For an investment, this is the risk that, in the event of the failure of the counterparty, the District will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. The District had no custodial credit risk with regards to investments as all investments were held by the District or its agent in the District's name.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 3. Interfund Transfers

The detail of interfund transfers for the year ended June 30, 2025 is as follows:

	Transfer in	Transfer out
General	\$ 52,300	\$ 58,176
Capital projects fund	2,552,091	10,404,047
Nonmajor governmental fund,		
Debt Service	8,098,961	212,091
Student Activity	33,262	10,000
Major enterprise fund, Nutrition	-	52,300
	<u>\$ 10,736,614</u>	<u>\$ 10,736,614</u>

Transfers generally move revenues from the fund statutorily required to collect the resources to the fund statutorily required to expend the resources. Transfers from the Capital Projects Fund to the Debt Service Fund are to make principal and interest payments on the District's revenue bonds. Transfers from the General Fund to the Debt Service Fund are to make principal and interest payments on the District's subscription based information technology arrangements and lease agreements.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 4. Capital Assets

Capital assets activity for the year ended June 30, 2025 is as follows:

	Balance Beginning of Year	Increases	Decreases	Balance End of Year
Governmental activities:				
Capital assets not being depreciated:				
Land	\$ 2,298,692	\$ -	\$ -	\$ 2,298,692
Construction in progress	18,317,847	18,340,952	180,022	36,478,777
Total capital assets not being depreciated	20,616,539	18,340,952	180,022	38,777,469
Capital assets being depreciated and amortized:				
Buildings	131,228,207	253,353	-	131,481,560
Improvements other than buildings	12,280,333	1,020,425	83,550	13,217,208
Furniture and equipment	9,972,628	677,448	33,128	10,616,948
Intangible right to use lease equipment	344,028	-	47,851	296,177
Intangible right to use subscription asset	657,861	100,565	104,033	654,393
Total capital assets being depreciated and amortized	154,483,057	2,051,791	268,562	156,266,286
Less accumulated depreciation and amortization for:				
Buildings	48,562,710	3,286,127	-	51,848,837
Improvements other than buildings	6,755,064	680,382	81,908	7,353,538
Furniture and equipment	8,423,401	373,495	24,593	8,772,303
Intangible right to use lease equipment	77,997	71,275	47,851	101,421
Intangible right to use subscription asset	342,030	115,464	104,033	353,461
Total accumulated depreciation and amortization	64,161,202	4,526,743	258,385	68,429,560
Total capital assets being depreciated and amortized, net	90,321,855	(2,474,952)	10,177	87,836,726
Governmental activities capital assets, net	\$ 110,938,394	\$ 15,866,000	\$ 190,199	\$ 126,614,195
Business-type activities:				
Furniture and equipment	\$ 1,882,653	\$ 48,565	\$ 11,601	\$ 1,919,617
Less accumulated depreciation	1,376,544	78,105	11,601	1,443,048
Business-type activities capital assets, net	\$ 506,109	\$ (29,540)	\$ -	\$ 476,569

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 4. Capital Assets (Continued)

Depreciation and amortization expense was charged by the District to the following functions:

Governmental activities:

Instruction	\$	4,261,673
Support services:		
Administration		152,125
Operation and maintenance of plant services		112,945
Total governmental activities depreciation and amortization expense	\$	4,526,743

Business-type activities, food service operations	\$	78,105
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Note 5. Long-Term Liabilities

A summary of changes in long-term liabilities for the year ended June 30, 2025 is as follows:

	Restated Balance Beginning of Year	Additions	Reductions	Balance End of Year	Due Within One Year
Governmental activities:					
Revenue bonds, Series 2016	\$ 3,980,000	\$ -	\$ 765,000	\$ 3,215,000	\$ 780,000
Revenue bonds, Series 2017	6,025,000	-	1,150,000	4,875,000	1,175,000
Revenue bonds, Series 2018	9,375,000	-	1,780,000	7,595,000	1,830,000
Revenue bonds, Series 2024	27,180,000	-	100,000	27,080,000	100,000
Premium on revenue bonds	1,002,625	-	50,131	952,494	50,131
Private Placement, GO bonds, Series 2018	8,425,000	-	2,015,000	6,410,000	2,075,000
Premium on GO bonds	176,721	-	44,180	132,541	44,180
Equipment note	-	407,928	91,992	315,936	315,936
Lease obligations	270,577	-	70,311	200,266	58,519
IT subscription obligations	66,497	-	22,587	43,910	14,018
Early retirement	524,343	266,953	363,920	427,376	293,900
Compensated absences	8,299,538	925,330	-	9,224,868	2,767,460
Total OPEB liability	5,385,957	243,655	-	5,629,612	123,611
Pension liability	19,373,138	-	3,617,333	15,755,805	-
Total	\$ 90,084,396	\$ 1,843,866	\$ 10,070,454	\$ 81,857,808	\$ 9,627,755
Business-type activities:					
Compensated absences	\$ 119,398	\$ 30,585	\$ -	149,983	\$ 58,494
Total OPEB liability	224,415	10,152	-	234,567	5,150
Pension liability	377,232	-	67,161	310,071	-
Total	\$ 721,045	\$ 40,737	\$ 67,161	\$ 694,621	\$ 63,644

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 5. Long-Term Liabilities (Continued)

General obligation bonds: In October 2018, the District issued \$17,640,000 General Obligation School Capital Loan Notes, Series 2018 for capital facility construction/building improvement purposes. The bonds provide for the serial retirement of principal payable annually on June 1 and interest due semiannually at 3% with maturity on June 1, 2028. The general obligation bonds will be paid through voter-approved physical plant and equipment property tax. Annual Debt Service requirements of the general obligation bonded indebtedness are as follows:

Year ending June 30:	Direct Borrowing and Direct Placement General Obligation School Capital Loan Notes, Series 2018		
	Principal	Interest	Total
2026	\$ 2,075,000	\$ 192,300	\$ 2,267,300
2027	2,135,000	130,050	2,265,050
2028	2,200,000	66,000	2,266,000
Totals	\$ 6,410,000	\$ 388,350	\$ 6,798,350

Revenue bonds:

In October 2016, the District issued \$10,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2016 for capital improvements to school buildings. Bond principal is payable annually on July 1 beginning July 1, 2018 through July 1, 2029. The bonds have an interest rate of 1.96 percent. Interest is payable semiannually on January 1 and July 1 until maturity. The bonds are payable solely from the revenues of the statewide sales, services and use tax. The bonds are not general obligations of the District. The total principal and interest remaining to be paid on the bonds as of June 30, 2025 is \$3,374,152. During the year ended June 30, 2025, \$765,000 principal was paid and \$78,008 of interest was paid on the bonds.

In October 2017, the District issued \$10,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2017 for capital improvements to school buildings. Bond principal is payable annually on July 1, beginning July 1, 2018 through July 1, 2029. The bonds have an interest rate of 1.94 percent. Interest is payable semiannually on January 1 and July 1 until maturity. The bonds are payable solely from the revenues of the statewide sales, services and use tax. The bonds are not general obligations of the District. The total remaining principal and interest remaining to be paid on the bonds as of June 30, 2025 is \$5,114,202. During the year ended June 30, 2025, \$1,150,000 principal was paid and \$116,460 of interest was paid on the bonds.

In October 2018, the District issued \$14,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2018 for capital improvements to school buildings. Bond principal is payable annually on July 1, beginning July 1, 2020 through July 1, 2029. The bonds have an interest rate of 2.93 percent. Interest is payable semiannually on January 1 and July 1 until maturity. The bonds are payable solely from the revenues of the statewide sales, services and use tax. The bonds are not general obligations of the District. The total remaining principal and interest remaining to be paid on the bonds as of June 30, 2025 is \$8,158,000. During the year ended June 30, 2025, \$1,780,000 principal was paid and \$273,699 of interest was paid on the bonds.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 5. Long-Term Liabilities (Continued)

In May 2024, the District issued \$27,180,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2024 to construct, furnish and equip an addition to the High School building and renovate and improve portions of the existing High School building. Bond principal is payable annually on July 1, beginning July 1, 2025 through July 1, 2044. The bonds have an interest rate ranging from 4.0-5.0 percent. Interest is payable semiannually on January 1 and July 1 until maturity. The bonds are payable solely from the revenues of the statewide sales, services and use tax. The bonds are not general obligations of the District. The total remaining principal and interest remaining to be paid on the bonds as of June 30, 2025 is \$42,811,050. During the year ended June 30, 2025, \$100,000 principal was paid and \$1,371,103 of interest was paid on the bonds.

During the year ended June 30, 2025 the statewide sales, services, and use tax revenues were \$7,324,934 for the year ended June 30, 2025. The pledge of statewide sales, service and use tax revenues for this bond and parity bonds constitutes approximately 97% of annual statewide sales, service and use tax revenues of the District.

The resolutions providing for the issuance of the revenue bonds included the following provisions:

- All proceeds from the statewide sales, service and use tax shall be deposited into the revenue account.
- Monies in the revenue account shall first be disbursed to make deposits into the sinking account to pay the principal and interest requirements of the revenue bonds for the fiscal year. At June 30, 2025, there was \$2,443,956 deposited in the sinking account in the Debt Service Fund.
- If monies in the sinking fund exceed the required amount, the excess shall be transferred to the revenue account. At June 30, 2025, there was no amount deposited into a surplus account.

Annual debt service requirements on outstanding revenue bond indebtedness as of June 30, 2025, are as follows:

Year ending June 30:	Revenue Bonds, Series 2016		
	Principal	Interest	Total
2026	\$ 780,000	\$ 63,014	\$ 843,014
2027	795,000	47,726	842,726
2028	810,000	32,144	842,144
2029	830,000	16,268	846,268
Totals	\$ 3,215,000	\$ 159,152	\$ 3,374,152

Year ending June 30:	Revenue Bonds, Series 2017		
	Principal	Interest	Total
2026	\$ 1,175,000	\$ 94,575	\$ 1,269,575
2027	1,205,000	71,780	1,276,780
2028	1,235,000	48,403	1,283,403
2029	1,260,000	24,444	1,284,444
Totals	\$ 4,875,000	\$ 239,202	\$ 5,114,202

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 5. Long-Term Liabilities (Continued)

Year ending June 30:	Revenue Bonds, Series 2018		
	Principal	Interest	Total
2026	\$ 1,830,000	\$ 222,534	\$ 2,052,534
2027	1,875,000	168,914	2,043,914
2028	1,925,000	113,978	2,038,978
2029	1,965,000	57,574	2,022,574
Totals	\$ 7,595,000	\$ 563,000	\$ 8,158,000

Year ending June 30:	Revenue Bonds, Series 2024		
	Principal	Interest	Total
2026	\$ 100,000	\$ 1,190,150	\$ 1,290,150
2027	100,000	1,185,150	1,285,150
2028	100,000	1,180,150	1,280,150
2029	100,000	1,175,150	1,275,150
2030	1,265,000	1,170,150	2,435,150
2031-2035	7,335,000	5,186,250	12,521,250
2036-2040	9,250,000	3,310,850	12,560,850
2041-2044	8,830,000	1,333,200	10,163,200
Totals	\$ 27,080,000	\$ 15,731,050	\$ 42,811,050

Equipment Note: The District financed a scoreboard for \$407,928 in 2025 with an interest rate of 6.39%. The District paid \$91,992 of principal in 2025. The remaining principal and related interest will be paid in fiscal year 2026.

Leases: The District has entered into various lease agreements for printer and copier equipment. As of June 30, 2025, the value of the lease liability was \$200,266. The lease agreements have an interest rate of 3.5 percent with final maturity of all the agreements on June 30, 2029.

Year ending June 30:	Principal	Interest	Total
2026	\$ 58,519	\$ 6,077	\$ 64,596
2027	60,600	3,995	64,595
2028	59,331	1,845	61,176
2029	21,816	223	22,039
Total	\$ 200,266	\$ 12,140	\$ 212,406

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 5. Long-Term Liabilities (Continued)

Subscription Based Information Technology Arrangements: The District has entered into various arrangements for subscription-based information technology. As of June 30, 2025, the liability was \$43,910. The arrangements have an interest rate of 3.5 percent with final maturity of all the arrangements on June 30, 2028. The future principal and interest payments as of June 30, 2025, were as follows:

Year ending June 30:	Principal	Interest	Total
2026	\$ 14,018	\$ 1,537	\$ 15,555
2027	14,612	1,046	15,658
2028	15,280	535	15,815
Total	\$ 43,910	\$ 3,118	\$ 47,028

As of June 30, 2025, the District did not exceed its legal debt margin computed as follows:

Total assessed valuation	\$ 4,725,288,292
Debt limit, 5% of total assessed valuation	\$ 236,264,415
Amount of debt applicable to debt limit:	
Bonded indebtedness	49,175,000
Equipment note	315,936
Lease obligations	200,266
IT subscription obligations	43,910
Total indebtedness	49,735,112
Legal debt margin	\$ 186,529,303

Early retirement: The District offered a voluntary early retirement plan to its certified, administrative and classified employees. Eligible employees must be at least age 55 and employees must have completed 15 years of service to the District. Employees must complete an application which is required to be approved by the Board of Education.

For administrative and certified personnel, the early retirement incentive for each eligible employee is equal to 50 percent of the employee's base salary calculated by using the current year regular salary schedule. For classified personnel, the early retirement incentive for each eligible employee is the product of 50 percent of the number of unused sick leave days (limited to a maximum number of days in the employee's letter of assignment) times the employee's hourly wage rate on the last day of employment times the daily hours worked.

As of June 30, 2025, the District had obligations to 20 participants with a total liability of \$427,376. Actual early retirement expenditures for the year ended June 30, 2025 totaled \$363,920. Early retirement is recorded as a long-term liability of the Governmental Activities in the District-wide financial statements. Early retirement obligations are generally liquidated by the Management Fund.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 6. Other Postemployment Benefits (OPEB)

Plan description: The District's defined benefit OPEB plan, Pleasant Valley Community School District Postemployment Plan Other Than Pensions (the Plan), provides postemployment benefits for eligible participants enrolled in its plans. The Plan is a single employer defined benefit OPEB plan administered by the District. Under Chapter 509A.13 of the Code of Iowa, "Group Insurance for Public Employees," If a governing body has procured insurance for its employees, the governing body shall allow its employees who retired before the age of sixty-five years of age to continue participation in the group plan at the employee's own expense until the employee attains sixty-five years of age. No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement No. 75.

Benefits provided: The Plan provides healthcare benefits including medical and prescription drug benefits for retirees and their dependents. Retiree health care coverage is available to pre-age 65 eligible retirees. All employees are required to contribute the full premium in order to continue coverage at retirement.

The full monthly premium rates as of July 1, 2024 for each plan are as shown below:

Rate Tier	Traditional
Single	\$ 645
Spouse	838

Employees covered by benefit terms: At June 30, 2025, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefit payments	12
Inactive employees entitled to but not yet receiving benefit payments	-
Active employees	435
	<u>447</u>

Total OPEB Liability: The District's total OPEB liability of \$5,864,179 was measured as of June 30, 2025 and was determined by an actuarial valuation as of July 1, 2024 rolled forward to June 30, 2025.

Actuarial assumptions and other inputs: The total OPEB liability in the roll forward actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement unless otherwise specified.

Inflation	3.00% per annum
Salary increases	4.00% per annum
Discount rate	4.81% per annum
Retirees' share of benefit-related costs	100%
Health care cost trend rate	5.00% reducing annually until reaching ultimate health care cost trend rate - 4.50%

The discount rate was based on the Bond Buyer 20-Bond GO index. Mortality rates were based on the PubT.H-2010 Teacher Mortality with Mortality Improvement using Scale MP-2020. The actuarial assumptions used in the June 30, 2025 roll forward valuation were based on the results of an actuarial experience study for the period 2010– 2021.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 6. Other Postemployment Benefits (OPEB) (Continued)

Changes in the Total OPEB Liability

	Increase (Decrease) Total OPEB Liability (a)
Balance at June 30, 2024	\$ 5,610,372
Changes for the year:	
Service cost	429,201
Interest	233,486
Changes of benefit terms	-
Differences between expected and actual experience	-
Changes in assumptions or other inputs	(280,119)
Benefit payments	(128,761)
Net changes	253,807
Balance at June 30, 2025	\$ 5,864,179

Changes of assumptions or other inputs reflect a change in the discount rate from 4.21% per annum in 2024 to 4.81% per annum in 2025. Rates of retirement, withdrawal, and disability were changed to those found in the Iowa Public Employees' Retirement System actuarial valuation report as of June 30, 2024.

Sensitivity of the total OPEB liability to changes in the discount rate: The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using a discount rate that is 1 percentage point lower or 1 percentage point higher than the current discount rate:

	1% Decrease 3.81%	Discount Rate 4.81%	1% Increase 5.81%
Total OPEB liability	\$ 6,377,463	\$ 5,864,179	\$ 5,392,976

Sensitivity of the total OPEB liability to changes in the healthcare cost trend rates: The following presents that total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1 percentage point lower or 1-percentage point higher than the current healthcare cost trend rates.

	1% Decrease 4.00%	Healthcare Cost Trend Rates 5.00%	1% Increase 6.00%
Total OPEB liability	\$ 5,194,087	\$ 5,864,179	\$ 6,654,626

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 6. Other Postemployment Benefits (OPEB) (Continued)

For the year ended June 30, 2025, the District recognized OPEB expense of \$707,270. At June 30, 2025, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 769,296	\$ 223,546
Changes of assumptions or other inputs	594,509	1,334,283
Net difference between projected and actual investments	-	-
Total	\$ 1,363,805	\$ 1,557,829

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

Year ended June 30:

2026	\$ 44,582
2027	44,582
2028	44,582
2029	44,582
2030	(74,624)
Thereafter	(297,728)
	<u>\$ (194,024)</u>

Note 7. Pension and Retirement Benefits

Plan Description – IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple employer defined benefit pension plan administered by Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at 7401 Register Drive P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

Pension Benefits – A regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits (Continued)

The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier based on years of service.
- The member's highest five-year average salary, except members with service before June 30, 2012 will use the highest three-year average salary as of that date if it is greater than the highest five-year average salary.

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25 percent for each month that the member receives benefits before the member's earliest normal retirement age. For service earned on or after July 1, 2012, the reduction is 0.50 percent for each month the member receives benefits before age 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

Disability and Death Benefits – A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Contributions – Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. Statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires that the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2025, pursuant to the required rate, Regular members contributed 6.29 percent of covered payroll and the District contributed 9.44 percent of covered payroll for a total rate of 15.73 percent.

The District's contributions to IPERS for the year ended June 30, 2025 were \$4,063,012.

Net Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions – At June 30, 2025, the District reported a liability of \$16,065,876 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2024, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to the pension plan relative to the contributions of all IPERS participating employers. At June 30, 2024, the District's proportion was 0.441189 percent, which was an increase of 0.003621 percent from its proportion measured as of June 30, 2023.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits (Continued)

For the year ended June 30, 2025, the District recognized pension expense of \$2,171,634. At June 30, 2025, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 1,278,375	\$ 9,980
Changes of assumptions	-	225
Net difference between projected and actual earnings on pension plan investments	200,930	-
Changes in proportion and differences between District contributions and proportionate share of contributions	761,200	-
District contributions subsequent to the measurement date	4,063,012	-
Total	\$ 6,303,517	\$ 10,205

Deferred outflows of resources of \$4,063,012 related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ending June 30, 2026. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	
2026	\$ (1,820,160)
2027	4,169,038
2028	317,352
2029	(456,396)
2030	20,466
Thereafter	-
Total	\$ 2,230,300

There were no non-employer contributing entities to IPERS.

Actuarial Assumptions – The total pension liability in the June 30, 2024 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Rate of Inflation (effective June 30, 2017)	2.60 percent per annum
Salary Increases (effective June 30, 2017)	3.25 percent to 16.25 percent average, including inflation. Rates vary by membership group.
Investment rate of return (effective June 30, 2017)	7.00 percent, compounded annually, net of investment expense, including inflation.
Wage growth (effective June 30, 2017)	3.25 percent per annum, based on 2.60 percent inflation and 0.65 percent real wage inflation

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits (Continued)

The actuarial assumptions used in the June 30, 2024 valuation were based on the results of a quadrennial experience study covering the period of July 1, 2017 through June 30, 2021. Mortality rates used in the 2024 valuation were based on the PubG-2010 mortality tables with future mortality improvements modeled using Scale MP-2021.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Domestic equity	21.0%	3.52%
International equity	13.0%	5.18%
Global smart beta equity	5.0%	4.12%
Core plus fixed income	25.5%	3.04%
Public credit	3.0%	4.53%
Cash	1.0%	1.69%
Private equity	17.0%	8.89%
Private real assets	9.0%	4.25%
Private credit	5.5%	6.62%
Total	<u>100%</u>	

Discount Rate – The discount rate used to measure the total pension liability was 7.00 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the contractually required rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits (Continued)

Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate – The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.00 percent, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.00 percent) or 1-percentage-point higher (8.00 percent) than the current rate.

	1% Decrease (6.00%)	Discount Rate (7.00%)	1% Increase (8.00%)
District's proportionate share of the net pension liability (asset)	\$ 39,425,372	\$ 16,065,876	\$ (3,497,825)

Pension Plan Fiduciary Net Position – Detailed information about the pension plan's fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

Payables to the Pension Plan – At June 30, 2025, the District reported payables to the defined benefit pension plan of \$0 for legally required employer contributions and \$0 for legally required employee contributions which had been withheld from employee wages but not yet remitted to IPERS.

Note 8. Risk Management

On July 1, 2023, the District transitioned from being partially self-insured to being self-insured with aggregate stop loss policy for the excess of 125 percent of estimated claims for the plan year and specific stop-loss reinsurance coverage for the excess of \$75,000 in insured claims for any one covered individual.

Payments are made to the plan based on actuarial estimates of amounts needed to pay prior and current year claims and to establish a reserve for incurred but unpaid claims. Changes in the claims liability amounts for the years ended June 30, 2025 and 2024 were as follows:

Self-Insurance Liability	Beginning	Claims and Changes in Estimates	Claim Payments	Ending
2024	\$ 173,416	\$ 5,270,849	\$ 4,734,143	\$ 710,122
2025	710,122	5,143,964	5,341,482	512,604

Claims liability is classified as current as claims are typically paid within 2 ½ months of incurred date.

Pleasant Valley Community School District is exposed to various risks of loss related to torts; theft; damage to and destruction of assets; errors and omissions; injuries to employees; and natural disasters. These risks are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 9. Area Education Agency

The District is required by the Code of Iowa to budget for its share of special education support, media and educational services provided through the area education agency. The District's actual amount for this purpose totaled \$2,197,984 for the year ended June 30, 2025 and is recorded in the General Fund.

The Governor signed House File 2612 on March 27, 2024, which changes the percentage of educational and media services funding generated through local property taxes by Districts which flow through to each Area Education Agency (AEA) beginning July 1, 2024. For fiscal year 2026, 100% of the educational and media services funds generated by Districts will be received directly by the District and none will flow through to the AEAs. Also, for fiscal year 2026, Districts will flow through 90% (instead of 100%) of special education support services funds to AEAs, who will code the funds as a combination of state aid and property taxes.

Note 10. Categorical Funding

The District's fund balance restricted for categorical funding as of June 30, 2025 is comprised of the following programs:

Program	Amount
Home school assistance	\$ 148,520
ELP/TAG	200,549
Teacher leadership	274,109
Successful progression for early readers	41,573
Professional development	174,907
4 year old preschool	104,930
Other	53,887
Total	\$ 998,475

Note 11. Tax Abatements

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments. Property tax revenues of the District were reduced by the following amounts for the year ended June 30, 2025 under tax abatement agreements of other entities:

Entity	Tax Abatement Program	Amount of Tax Diverted
City of LeClaire, Iowa	Urban renewal and economic development projects	\$ 504,553
City of Bettendorf, Iowa	Urban renewal and economic development projects	720,829
City of Riverdale, Iowa	Urban renewal and economic development projects	125,076

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2025, this reimbursement amounted to \$633,183.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 12. Commitments

The District entered into a transportation contract for busing equipment and services for the busing of all District students. The terms call for the leasing of buses for various routes. All services are provided by the lessor. The contract is for one year and can be cancelled by either party at the end of the one year term. For the year ended June 30, 2025, the contract payments for busing services and equipment totaled \$2,332,249.

The District has entered into contracts totaling \$43,052,891 for junior high addition and renovations, high school additions and renovations, junior high roof repairs, high school chiller, and playground equipment. As of June 30, 2025, costs of \$32,861,366 had been incurred against the contracts. The balance of \$10,191,525 remaining as of June 30, 2025 will be paid as work on the projects progress.

Note 13. Governmental Accounting Standards Board (GASB)

The District adopted the following statements during the year ended June 30, 2025:

GASB Statement No. 101, *Compensated Absences*, issued June 2022. The objective of this Statement is to better meet the information needs of financial statement users by updating the recognition and measurement guidance for compensated absences. That objective is achieved by aligning the recognition and measurement guidance under a unified model and by amending certain previously required disclosures. This Statement requires that liabilities for compensated absences be recognized for (1) leave that has not been used and (2) leave that has been used but not yet paid in cash or settled through noncash means. A liability should be recognized for leave that has not been used if (a) the leave is attributable to services already rendered, (b) the leave accumulates, and (c) the leave is more likely than not to be used for time off or otherwise paid in cash or settled through noncash means. With respect to financial statements prepared using the current financial resources measurement focus, this Statement requires that expenditures be recognized for the amount that normally would be liquidated with expendable available financial resources. This Statement amends the existing requirements to disclose the gross increases and decreases in a liability for compensated absences to allow governments to disclose only the net change in the liability (As long as they identify it as a net change). In addition, governments are no longer required to disclose which governmental funds typically have been used to liquidate the liability for compensated absences.

GASB Statement No. 102, *Certain Risk Disclosures*, issued December 2023. The objective of this Statement is to provide users of government financial statements with information about risks related to a government's vulnerabilities due to certain concentrations or constraints that is essential to their analyses for making decisions or assessing accountability. A government should provide information in sufficient detail to enable users of financial statements to understand the nature of the circumstances disclosed and the government's vulnerability to the risk of a substantial impact associated with the concentration or constraint. The disclosures should include descriptions of the following: (a) The concentration or constraint (b) Each event associated with the concentration or constraint that could cause a substantial impact if the event had occurred or had begun to occur prior to the issuance of the financial statements (c) Actions taken by the government prior to the issuance of the financial statements to mitigate the risk.

The above statements did not have a significant impact to the District except for GASB Statement No. 101 required the District to restate beginning net position of the governmental and business-type activities and Nutrition Fund.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 13. Governmental Accounting Standards Board (GASB) (Continued)

As of June 30, 2025, GASB had issued several statements not yet required to be implemented by the District. The Statements which might impact the District are as follows:

GASB Statement No. 103, *Financial Reporting Model Improvements*, issued April 2024, will be effective for the District beginning with its fiscal year ending June 30, 2026. The objective of this statement is to improve key components of the financial reporting model to enhance its effectiveness in providing information that is essential for decision making and assessing a government's accountability. This statement also addresses certain application issues.

GASB Statement No. 104, *Disclosure of Certain Capital Assets*, issued September 2024, will be effective for the District beginning with its fiscal year ending June 30, 2026. The objective of this statement is to provide users of government financial statements with essential information about certain types of capital assets. This Statement requires certain types of capital assets to be disclosed separately in the capital assets note disclosures required by Statement 34. Lease assets recognized in accordance with Statement No. 87, *Leases*, and intangible right-to-use assets recognized in accordance with Statement No. 94, *Public-Private and Public-Public Partnerships and Availability Payment Arrangements*, should be disclosed separately by major class of underlying asset in the capital assets note disclosures. Subscription assets recognized in accordance with Statement No. 96, *Subscription-Based Information Technology Arrangements*, also should be separately disclosed. In addition, this Statement requires intangible assets other than those three types to be disclosed separately by major class. This Statement also requires additional disclosures for capital assets held for sale.

The District's management has not yet determined the effect these Statements will have on the District's financial statements.

Note 14. Restatement

The District implemented GASB Statement No. 101, *Compensated Absences*, which required the District to restate net position as of June 30, 2024, as follows:

	Governmental Activities	Business-Type Activities	Major Fund Nutrition
Net position June 30, 2024, as previously reported	\$ 84,042,980	\$ 4,135,193	\$ 4,049,972
Compensated absences liability, change in accounting principle	(2,090,319)	(119,399)	(119,399)
Net position June 30, 2024, as restated	<u>\$ 81,952,661</u>	<u>\$ 4,015,794</u>	<u>\$ 3,930,573</u>

Pleasant Valley Community School District

Required Supplementary Information

**Budgetary Comparison Schedule of Revenues, Expenditures/Expenses and Changes in Balances -
Budget and Actual - All Governmental Funds and Enterprise Fund
Year Ended June 30, 2025**

	Governmental Funds - Actual	Enterprise Fund - Actual
Revenues:		
Local sources	\$ 37,180,816	\$ 2,428,316
State sources	48,868,599	19,145
Federal sources	1,616,421	1,065,125
Total revenues	87,665,836	3,512,586
Expenditures/expenses:		
Instruction	48,193,528	-
Support services	23,564,130	-
Noninstructional programs	36,999	3,304,100
Other expenditures	30,354,886	-
Total expenditures/expenses	102,149,543	3,304,100
Excess (deficiency) of revenues over (under) expenditures/expenses	(14,483,707)	208,486
Other financing sources (uses):		
Interfund transfers in	10,736,614	-
Interfund transfers (out)	(10,684,314)	(52,300)
Other	422,124	-
Total other financing sources (uses)	474,424	(52,300)
Net change in fund balance	(14,009,283)	156,186
Balance, beginning of year	48,692,676	4,015,794
Balance, end of year	\$ 34,683,393	\$ 4,171,980

See Notes to Required Supplementary Information.

Total Actual		Budgeted Amounts		Final to Actual
		Original	Final	Variance
\$	39,609,132	\$ 39,111,262	\$ 39,111,262	\$ 497,870
	48,887,744	48,645,448	48,645,448	242,296
	2,681,546	2,424,536	2,424,536	257,010
	91,178,422	90,181,246	90,181,246	997,176
	48,193,528	49,232,102	68,799,942	20,606,414
	23,564,130	22,869,982	30,916,450	7,352,320
	3,341,099	3,142,615	6,903,624	3,562,525
	30,354,886	27,278,403	43,776,718	13,421,832
	105,453,643	102,523,102	150,396,734	44,943,091
	(14,275,221)	(12,341,856)	(60,215,488)	45,940,267
	10,736,614	12,618,164	12,618,164	(1,881,550)
	(10,736,614)	(11,900,569)	(11,900,569)	1,163,955
	422,124	-	-	422,124
	422,124	717,595	717,595	(295,471)
	(13,853,097)	\$ (11,624,261)	\$ (59,497,893)	\$ 45,644,796
	52,708,470			
\$	38,855,373			

Pleasant Valley Community School District

**Required Supplementary Information
Schedule of Changes in the District's Total OPEB
Liability and Related Ratios
Last Eight Fiscal Years**

	2025	2024
Total OPEB liability		
Changes for the year:		
Service cost	\$ 429,201	\$ 460,959
Interest	233,486	211,722
Changes of benefit terms		
Differences between expected and actual experience	-	323,904
Changes in assumptions or other inputs	(280,119)	(448,041)
Benefit payments	(128,761)	(129,208)
Net changes in total OPEB liability	253,807	419,336
Total OPEB liability - beginning	5,610,372	5,191,036
Total OPEB liability - ending	<u>\$ 5,864,179</u>	<u>\$ 5,610,372</u>
Covered employee payroll	\$ 25,278,071	\$ 25,278,071
Total OPEB liability as a percentage of covered employee payroll	23.2%	22.2%

Notes to Schedule:

Changes of benefit terms:

There were no changes as a result of changes in benefit terms.

Changes of assumption:

Changes of assumptions or other inputs reflect a change in the discount rate. The following are the discount rates used in each period:

4.81%	4.21%
-------	-------

No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement No. 75

Note: The schedule is intended to present information for ten years.
Information prior to 2018 is not available.

See Notes to Required Supplementary Information.

2023	2022	2021	2020	2019	2018
\$ 403,655	\$ 528,196	\$ 419,695	\$ 358,497	\$ 200,905	\$ 193,420
190,901	115,152	122,329	85,188	90,870	84,561
-	(365,839)	-	1,211,052	-	-
(17,570)	(818,342)	220,448	618,617	83,558	(59,537)
(106,915)	(40,790)	(117,404)	(99,536)	(77,578)	(48,099)
470,071	(581,623)	645,068	2,173,818	297,755	170,345
4,720,965	5,302,588	4,657,520	2,483,702	2,185,947	2,015,602
\$ 5,191,036	\$ 4,720,965	\$ 5,302,588	\$ 4,657,520	\$ 2,483,702	\$ 2,185,947
\$ 32,384,338	\$ 32,384,338	\$ 25,448,998	\$ 25,448,998	\$ 25,413,000	\$ 24,435,885
16.0%	14.6%	20.8%	18.3%	10.0%	9.0%
4.13%	4.09%	2.18%	2.66%	3.50%	3.87%

Pleasant Valley Community School District

Required Supplementary Information

Schedule of the District's Proportionate Share of the Net Pension Liability

Iowa Public Employees' Retirement System

Last Ten Fiscal Years

	2025*	2024*	2023*
District's proportion of the net pension liability	0.441189%	0.437568%	0.444279%
District's proportionate share of the net pension liability	\$ 16,065,876	\$ 19,750,370	\$ 16,785,504
District's covered payroll	\$ 40,802,069	\$ 38,489,624	\$ 35,820,023
District's proportionate share of the net pension liability as a percentage of its covered payroll	39.38%	51.31%	46.86%
Plan fiduciary net pension as a percentage of the total pension liability	92.30%	90.13%	91.40%

*The amounts presented for each fiscal year
were determined as of the prior fiscal year-end.

See Notes to Required Supplementary Information.

2022*	2021*	2020*	2019*	2018*	2017*	2016*
-0.165620%	0.401184%	0.405431%	0.396414%	0.380032%	0.374103%	0.366061%
\$ 571,765	\$ 28,182,108	\$ 23,477,096	\$ 25,086,036	\$ 25,314,966	\$ 23,543,466	\$ 18,085,204
\$ 33,113,826	\$ 31,851,031	\$ 30,870,918	\$ 29,800,064	\$ 28,377,079	\$ 26,851,672	\$ 25,093,051
1.73%	88.48%	76.05%	84.18%	89.21%	87.68%	72.07%
100.81%	82.90%	85.45%	83.62%	82.21%	81.82%	85.19%

Pleasant Valley Community School District

Required Supplementary Information

Schedule of District Contributions (in Thousands)

Iowa Public Employees' Retirement System

Last Ten Fiscal Years

	2025	2024	2023	2022
Statutorily required contribution	\$ 4,063	\$ 3,845	\$ 3,622	\$ 3,381
Contributions in relation to the statutorily required contribution	\$ (4,063)	\$ (3,845)	\$ (3,622)	\$ (3,381)
Contribution deficiency (excess)	\$ -	\$ -	\$ -	\$ -
District's covered payroll	\$ 43,156	\$ 40,802	\$ 38,489	\$ 35,820
Contributions as a percentage of employee payroll	9.41%	9.42%	9.41%	9.44%

See Notes to Required Supplementary Information.

2021		2020		2019		2018		2017		2016	
\$	3,125	\$	3,007	\$	2,913	\$	2,661	\$	2,534	\$	2,398
\$	(3,125)	\$	(3,007)	\$	(2,913)	\$	(2,661)	\$	(2,534)	\$	(2,398)
\$	-	\$	-	\$	-	\$	-	\$	-	\$	-
\$	33,114	\$	31,851	\$	30,871	\$	29,800	\$	28,377	\$	26,852
	9.44%		9.44%		9.44%		8.93%		8.93%		8.93%

Pleasant Valley Community School District

Notes to Required Supplementary Information

Note 1. Budgets and Budgetary Information

This budgetary comparison is presented as Required Supplementary Information in accordance with Governmental Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major Special Revenue Fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds except internal service, private-purpose trust and custodial funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared on the GAAP basis.

Formal and legal budgetary control for the certified budget is based upon four major classes or expenditures known as functions, not by fund or fund type. These four functions are instruction, support services, noninstructional programs and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated function level, not by fund. The Code of Iowa also provides that District expenditures in the General Fund may not exceed the amount authorized by the school finance formula. During the year, the District adopted one budget amendment increasing budgeted expenditures by \$47,873,632.

During the year ended June 30, 2025, expenditures did not exceed the amounts budgeted.

Note 2. Iowa Public Employees' Retirement System Pension Liability

Changes of benefit terms:

There are no significant changes in benefit terms.

Changes of assumptions:

The 2022 valuation incorporated the following refinements after a quadrennial experience study:

- Changed mortality assumptions to the PubG-2010 mortality tables with mortality improvements modeled using Scale MP-2021.
- Adjusted retirement rates for Regular members.
- Lowered disability rates for Regular members.
- Adjusted termination rates for all membership groups.

The 2018 valuation implemented the following refinements as a result of a demographic assumption study dated June 28, 2018:

- Changed mortality assumptions to the RP-2014 mortality tables with mortality improvements modeled using Scale MP-2017.
- Adjusted retirement rates.
- Lowered disability rates.
- Adjusted the probability of a vested Regular member electing to receive a deferred benefit.
- Adjusted the merit component of the salary increase assumption.

Pleasant Valley Community School District

Notes to Required Supplementary Information

Note 2. Iowa Public Employees' Retirement System Pension Liability (Continued)

The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00% to 2.60%.
- Decreased the assumed rate of interest on member accounts from 3.75% to 3.50% per year.
- Decreased the discount rate from 7.50% to 7.00%.
- Decreased the wage growth assumption from 4.00% to 3.25%.
- Decreased the payroll growth assumption from 4.00% to 3.25%.

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Other Supplementary Information

Pleasant Valley Community School District

Combining Balance Sheet
Nonmajor Governmental Funds
June 30, 2025

	Special Revenue		Debt Service	Total
	Management Levy	Student Activity		
Assets				
Cash and pooled investments	\$ 4,383,565	\$ 924,524	\$ 2,633,051	\$ 7,941,140
Receivables:				
Property tax:				
Current year	6,979	-	-	6,979
Succeeding year	1,770,000	-	-	1,770,000
Accounts	-	4,075	-	4,075
Prepaid items	182,196	9,285	-	191,481
Total assets	\$ 6,342,740	\$ 937,884	\$ 2,633,051	\$ 9,913,675
Liabilities, Deferred Inflows of Resources, and Fund Balances				
Liabilities:				
Accounts payable	\$ 12,634	\$ 75,643	\$ -	\$ 88,277
Salaries and benefits payable	-	19,339	-	19,339
Total liabilities	12,634	94,982	-	107,616
Deferred inflows of resources, Unavailable revenue-succeeding year property tax	1,770,000	-	-	1,770,000
Fund balances:				
Nonspendable	182,196	9,285	-	191,481
Restricted	4,377,910	833,617	2,633,051	7,844,578
Total fund balances	4,560,106	842,902	2,633,051	8,036,059
Total liabilities, deferred inflows of resources and fund balances	\$ 6,342,740	\$ 937,884	\$ 2,633,051	\$ 9,913,675

Pleasant Valley Community School District

Combining Statement of Revenues, Expenditures and Changes in Fund Balances

Nonmajor Governmental Funds

Year Ended June 30, 2025

	Special Revenue			
	Management	Student	Debt	
	Levy	Activity	Service	Total
Revenues:				
Local sources:				
Property tax	\$ 1,794,406	\$ -	\$ -	\$ 1,794,406
Utility excise tax	44,010	-	-	44,010
Other tax	114	-	-	114
Other	167,624	1,132,500	208,562	1,508,686
State sources	15,768	-	-	15,768
Total revenues	2,021,922	1,132,500	208,562	3,362,984
Expenditures:				
Current:				
Instruction	340,655	1,096,841	-	1,437,496
Support services:				
Student services	4,823	-	-	4,823
Instructional staff services	52,580	-	-	52,580
Administration services	86,856	7,068	-	93,924
Operation and maintenance of plant services	874,089	1,058	-	875,147
Transportation services	9,581	-	-	9,581
Noninstructional programs	27,916	-	-	27,916
Debt Service:				
Principal	-	-	5,994,890	5,994,890
Interest and fiscal charges	-	-	2,102,696	2,102,696
Total expenditures	1,396,500	1,104,967	8,097,586	10,599,053
Excess (deficiency) of revenues over (under) expenditures	625,422	27,533	(7,889,024)	(7,236,069)
Other financing sources (uses):				
Transfers in	-	33,262	8,098,961	8,132,223
Transfers (out)	-	(10,000)	(212,091)	(222,091)
Total other financing sources (uses)	-	23,262	7,886,870	7,910,132
Net change in fund balances	625,422	50,795	(2,154)	674,063
Fund balances, beginning of year	3,934,684	792,107	2,635,205	7,361,996
Fund balances, end of year	\$ 4,560,106	\$ 842,902	\$ 2,633,051	\$ 8,036,059

Pleasant Valley Community School District

Schedule of Combining Balance Sheet
Capital Project Fund - By Account
June 30, 2025

	Capital Projects Accounts		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Assets			
Cash and pooled investments	\$ 10,955,244	\$ 611,240	\$ 11,566,484
Receivables:			
Property tax:			
Current year	-	14,578	14,578
Succeeding year	-	3,700,000	3,700,000
Due from other governments	768,145	-	768,145
Prepaid expenses	338,172	-	338,172
Total assets	\$ 12,061,561	\$ 4,325,818	\$ 16,387,379
Liabilities, Deferred Inflows of Resources, and Fund Balances			
Liabilities:			
Accounts payable	\$ 2,498,880	\$ 279,973	\$ 2,778,853
Total liabilities	2,498,880	279,973	2,778,853
Deferred Inflows of Resources:			
Unavailable revenue-succeeding year property tax	-	3,700,000	3,700,000
Total deferred inflows of resources	-	3,700,000	3,700,000
Fund Balances:			
Nonspendable	338,172	-	338,172
Restricted for:			
Physical plant and equipment	-	345,845	345,845
School infrastructure	9,224,509	-	9,224,509
Total fund balances	9,562,681	345,845	9,908,526
Total liabilities and fund balances	\$ 12,061,561	\$ 4,325,818	\$ 16,387,379

Pleasant Valley Community School District

Schedule of Combining Statement of Revenues, Expenditures and Changes in Fund Balances
Capital Project Fund - By Account
Year Ended June 30, 2025

	Capital Projects Accounts		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Revenues:			
Local sources:			
Property tax	\$ -	\$ 3,802,517	\$ 3,802,517
Utility excise tax	-	85,435	85,435
Other tax	-	221	221
Other	737,726	237,884	975,610
State sources	7,324,934	30,610	7,355,544
Federal sources	-	395,696	395,696
Total revenues	8,062,660	4,552,363	12,615,023
Expenditures:			
Current:			
Instruction	120,074	860,664	980,738
Support services:			
Administration services	-	53,715	53,715
Operation and maintenance of plant services	-	526,826	526,826
Noninstructional	-	7,479	7,479
Other expenditures, facilities acquisition	16,921,761	3,099,855	20,021,616
Debt service, fees	37,450	250	37,700
Total expenditures	17,079,285	4,548,789	21,628,074
Excess (deficiency) of revenues over (under) expenditures	(9,016,625)	3,574	(9,013,051)
Other financing sources (uses):			
Issuance of equipment lease	-	407,928	407,928
Transfer in	191,560	2,360,531	2,552,091
Transfers (out)	(7,975,683)	(2,428,364)	(10,404,047)
Total other financing (uses)	(7,784,123)	340,095	(7,444,028)
Net change in fund balance	(16,800,748)	343,669	(16,457,079)
Fund balance, beginning of year	26,363,429	2,176	26,365,605
Fund balance, end of year	\$ 9,562,681	\$ 345,845	\$ 9,908,526

Pleasant Valley Community School District

**Schedule of Changes in Special Revenue Fund, Student Activity Accounts
Year Ended June 30, 2025**

Account	Balance Beginning of Year	Revenues	Expenditures	Intrafund Transfers	Balance End of Year
Elementary and Junior High Activities:					
P.V.J.H. Band	\$ 2,612	\$ -	\$ -	\$ -	\$ 2,612
P.V.J.H. Vocal Music	476	805	-	-	1,281
P.V.J.H. Bookstore	213	2,063	2,063	-	213
P.V.J.H. Chorus	73	-	-	-	73
P.V.J.H. General Activities	3,711	1,562	1,928	-	3,345
P.V.J.H. Home Economics	1,712	-	-	-	1,712
P.V.J.H. Quest Program	327	-	-	-	327
P.V.J.H. Science	14	-	-	-	14
P.V.J.H. Special Olympics	197	-	-	-	197
P.V.J.H. Student Council	1,803	-	-	-	1,803
P.V.J.H. Athletics	-	53	53	-	-
P.V.J.H. Orchestra	-	9,113	9,113	-	-
P.V.J.H. PTA	-	795	795	-	-
P.V.J.H. Robotics	270	120	-	-	390
P.V.J.H. Yearbook	40,628	17,192	10,736	-	47,084
P.V.J.H. PE Fundraising	1,708	-	-	-	1,708
Bridgeview General Activities	11,637	1,837	1,615	-	11,859
Bridgeview PTA Donations	11	-	-	-	11
Bridgeview Yearbook	663	1,966	1,804	-	825
Bridgeview Student Activity	582	-	-	-	582
Bridgeview Vocal Music	739	200	181	-	758
Bridgeview Robotics	50	-	-	-	50
Bridgeview Plant Club	103	-	-	-	103
Cody Band	34	-	-	-	34
Cody Book Club	2,588	798	2,558	-	828
Cody Bookstore	295	-	-	-	295
Cody Candy Sales	782	-	-	-	782
Cody General Activities	10,417	4,346	3,538	-	11,225
Cody Jump for Heart	2	-	-	-	2
Cody Robotics	60	-	-	-	60
Cody Student Fund	429	-	-	-	429
Cody Vocal Music	620	208	156	-	672
Cody Yearbook	5,767	3,083	2,846	-	6,004
Cody Student Council	65	-	-	-	65
Cody PTA Donations	1,303	2,901	2,749	-	1,455
Hopewell General Activities	15,761	4,007	7,220	(18)	12,530
Hopewell PTA	252	266	266	-	252
Hopewell Book Club	12,538	2,529	628	-	14,439
Hopewell Vocal Music	167	2,453	2,638	18	-
Hopewell Yearbook	9,145	8,064	7,962	-	9,247
Pleasant View General Activities	8,200	1,944	4,962	(237)	4,945
Pleasant View PTA	7,576	7,895	10,438	-	5,033
Pleasant View Book Club	4,655	5,195	8,867	-	983
Pleasant View Book Store	-	-	129	129	-
Pleasant View Yearbooks	-	7,764	7,872	108	-
Pleasant View Vocal Music	-	2,392	474	-	1,918
Pleasant View Robotics	1,757	-	-	-	1,757

(Continued)

Pleasant Valley Community School District

Schedule of Changes in Special Revenue Fund, Student Activity Accounts (Continued)
Year Ended June 30, 2025

Account	Balance Beginning of Year	Revenues	Expenditures	Intrafund Transfers	Balance End of Year
Elementary and Junior High Activities:					
Riverdale Book Club	\$ 1,929	\$ 2,714	\$ 3,941	\$ -	\$ 702
Riverdale Bookstore	218	-	-	-	218
Riverdale Jump for Heart	42	-	-	-	42
Riverdale General Activities	21,680	4,208	4,179	-	21,709
Riverdale PTA	1,143	-	-	-	1,143
Riverdale Student Council	264	-	-	-	264
Riverdale Science	843	-	-	-	843
Riverdale Band	500	-	-	-	500
Riverdale Robotics	558	-	-	-	558
Riverdale Vocal Music	90	200	182	-	108
Riverdale Yearbook	1,005	6,400	6,049	-	1,356
District-Wide Garage Sale	1,234	-	-	-	1,234
District-Wide Wellness	219	-	-	-	219
District-Wide STEM Night	556	-	-	-	556
Interest	77,138	11,479	-	(3,207)	85,410
6th Grade Choir	3,634	-	-	-	3,634
Forest Grove General Activities	1,664	128	524	-	1,268
Elementary and JH First Lego League	383	9,749	13,339	3,207	-
Forest Grove Vocal Music	600	200	-	-	800
Forest Grove Yearbook	267	4,059	2,131	-	2,195
Forest Grove Book Club	3,723	1,135	3,105	-	1,753
High School Activities:					
General Administrative	11,940	3,343	-	-	15,283
Clubs and Organizations	50,491	367,029	343,398	(28,646)	45,476
Drama	2,587	23,794	34,480	8,099	-
Therapy Dog	573	-	-	-	573
High School Athletics	98,607	160	-	(5,338)	93,429
Sparkles	2,534	50	131	-	2,453
Music Clubs	29,832	49,393	46,843	-	32,382
FCCLA	830	-	-	-	830
Croquet/Gentlemen's Club	236	-	-	-	236
PV Pals	893	-	-	-	893
PV Shining Stars	44	-	-	-	44
PVMCSA	80	1,750	1,034	-	796
Multi-occupations	72	391	60	-	403
First Robotics Club	7,464	35,600	25,786	-	17,278
Valenian	50,995	81,415	72,579	-	59,831
Athletic Support Groups	175,098	444,592	465,615	35,642	189,717
Interest	68,338	28,422	-	(13,025)	83,735
Interfund Transfers	23,861	-	-	3,268	27,129
Total	\$ 792,107	\$ 1,165,762	\$ 1,114,967	\$ -	\$ 842,902

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Statistical Section

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Pleasant Valley Community School District

Statistical Section Contents

The statistical section of the District's annual comprehensive financial report presents detailed information as a context for understanding what the information presented in the financial statements, note disclosures and required supplementary information say about the District's overall financial health.

Contents	Page
Financial Trends	76-89
These schedules contain trend information to help the reader understand how the District's financial performance and well being have changed over time.	
Revenue Capacity	90-95
These schedules contain trend information to help the reader assess the factors affecting the District's ability to generate its property taxes.	
Debt Capacity	96-101
These schedules contain trend information to help the reader assess the affordability of the District's current levels of outstanding debt and the District's ability to issue additional debt in the future.	
Demographic and Economic Information	102
These schedules offer demographic and economic indicators to help the reader understand the environment within which the District's financial activities take place and to help make comparisons over time and with other governments	
Operating Information	103-111
These schedules contain information about the District's operations and resources to help the reader understand how the District's financial information relates to the services the District provides and the activities it performs.	

Pleasant Valley Community School District

Net Position by Component
Last Ten Fiscal Years
(accrual basis of accounting)
(Unaudited)

	Fiscal Year			
	2016	2017	2018	2019
Governmental activities:				
Net investment in capital assets	\$ 46,357,427	\$ 48,923,365	\$ 53,863,845	\$ 54,688,945
Restricted	7,618,033	8,779,479	6,824,623	9,377,347
Unrestricted	(9,745,457)	(9,497,092)	(11,162,552)	(12,357,024)
Business-type activities				
Net investment in capital assets	523,807	446,365	541,660	517,626
Restricted	7,646	5,189	17,737	26,299
Unrestricted	430,982	842,399	1,012,013	1,240,620
Total primary government net position	\$ 45,192,438	\$ 49,499,705	\$ 51,097,326	\$ 53,493,813

Fiscal Year					
2020	2021	2022	2023	2024	2025
\$ 57,616,352	\$ 61,834,605	\$ 64,294,575	\$ 69,100,013	\$ 77,032,809	\$ 83,402,589
9,546,788	9,520,185	11,617,264	15,148,892	12,373,804	11,334,519
(13,090,297)	(12,120,596)	(7,438,766)	(4,275,821)	(5,363,633)	(4,467,274)
519,029	740,141	669,179	587,501	506,109	476,569
41,295	32,205	7,716	4,299	13,099	11,623
1,018,293	1,169,130	2,478,082	3,164,600	3,615,985	3,683,788
\$ 55,651,460	\$ 61,175,670	\$ 71,628,050	\$ 83,729,484	\$ 88,178,173	\$ 94,441,814

Pleasant Valley Community School District

Expenses, Program Revenues and Net (Expense) Revenue
Last Ten Fiscal Years
(accrual basis of accounting)
(Unaudited)

	Fiscal Year			
	2016	2017	2018	2019
Expenses:				
Governmental activities:				
Regular instruction	\$ 25,438,186	\$ 26,703,792	\$ 29,527,917	\$ 29,900,727
Special instruction	3,685,199	3,806,549	4,177,790	4,177,790
Other instruction	4,426,675	4,755,087	5,033,700	5,044,702
Student services	1,805,292	1,921,235	2,121,430	2,186,916
Instructional staff services	3,217,189	3,487,286	3,749,838	3,932,783
Administration services	3,730,755	4,764,242	5,112,130	5,306,450
Operation and maintenance of plant services	3,683,918	3,675,409	4,032,811	4,590,464
Transportation services	1,687,983	1,809,887	1,934,517	1,988,860
Noninstructional	42,924	33,911	23,618	21,855
Interest on long-term debt	206,613	471,868	623,732	1,455,077
AEA flowthrough	1,826,774	1,901,900	2,056,304	2,156,919
Total governmental activities	49,751,508	53,331,166	58,393,787	60,762,543
Business-type activities:				
Administration Service	44,303	-	-	-
Operation and maintenance of plant services	32,362	-	-	-
Food service operations	1,809,658	1,937,243	2,079,277	2,118,968
Total business-type activities	1,886,323	1,937,243	2,079,277	2,118,968
Total primary government expenses	51,637,831	55,268,409	60,473,064	62,881,511
Program revenues:				
Governmental activities:				
Charges for services:				
Instruction:				
Regular instruction	2,383,423	2,470,094	2,553,359	2,165,736
Special instruction	-	-	-	174,032
Other instruction	874,540	924,568	982,706	960,964
Support services	36,603	35,489	41,725	32,350
Operating grants and contributions	7,726,677	6,619,414	6,999,341	7,256,134
Capital grants and contributions	-	200,000	-	15,054
Total governmental activities	11,021,243	10,249,565	10,577,131	10,604,270
Business-type activities:				
Charges for services:				
Food service operations	1,590,833	1,664,304	1,750,799	1,771,203
Operating grants and contributions	582,902	628,697	629,562	667,986
Capital grants and contributions	-	-	-	-
Total business-type activities	2,173,735	2,293,001	2,567,897	2,439,189
Total primary government revenues	13,194,978	12,542,566	13,145,028	13,043,459
Net (expense) revenues:				
Total governmental activities	(38,730,265)	(43,081,601)	(47,816,656)	(50,158,273)
Total business-type activities	287,412	355,758	488,620	320,221
Total primary government revenues	\$ (38,442,853)	\$ (42,725,843)	\$ (47,328,036)	\$ (49,838,052)

Source: District financial records

Fiscal Year					
2020	2021	2022	2023	2024	2025
\$ 30,147,393	\$ 32,063,358	\$ 31,061,506	\$ 29,820,957	\$ 37,735,705	\$ 34,904,601
5,349,038	6,055,626	6,209,079	9,056,695	9,303,231	9,712,145
5,764,629	5,663,271	5,657,450	7,345,938	7,329,034	7,431,469
2,161,707	1,974,779	2,348,172	2,318,339	2,618,008	2,780,268
4,186,258	4,168,647	4,035,298	4,532,562	4,898,929	5,399,437
5,410,975	5,763,843	5,750,866	5,784,137	6,705,695	7,027,373
3,681,052	3,615,929	3,651,439	3,846,967	4,408,481	5,338,614
1,951,249	1,959,282	2,037,751	2,314,110	2,765,806	2,862,275
24,256	23,195	24,945	32,771	48,284	36,999
1,423,256	1,214,348	1,089,304	968,734	1,504,643	1,847,666
2,259,331	2,375,720	2,486,311	2,644,450	2,773,723	2,197,984
62,359,144	64,877,998	64,352,121	68,665,660	80,091,539	79,538,831
-	-	-	-	-	-
-	-	-	-	-	-
1,957,472	1,964,268	2,877,616	3,055,700	3,161,569	3,304,100
1,957,472	1,964,268	2,877,616	3,055,700	3,161,569	3,304,100
64,316,616	66,842,266	67,229,737	71,721,360	83,253,108	82,842,931
2,202,140	2,689,110	2,722,717	2,191,551	2,576,693	3,848,991
134,936	-	7,560	516,836	620,070	619,645
725,108	714,982	1,059,330	132,644	151,092	237,603
29,437	22,376	35,163	1,854,495	1,759,133	1,137,678
7,336,281	10,320,304	9,411,513	11,391,815	11,363,779	11,602,239
-	-	-	482,245	51,548	12,500
10,427,902	13,746,772	13,236,283	16,569,586	16,522,315	17,458,656
1,347,137	428,604	743,024	2,230,141	2,281,036	2,240,697
508,088	1,808,630	3,556,322	1,357,903	1,122,110	1,096,770
-	-	-	11,000	-	-
1,855,225	2,237,234	4,299,346	3,599,044	3,403,146	3,337,467
12,283,127	15,984,006	17,535,629	20,168,630	19,925,461	20,796,123
(51,931,242)	(51,131,226)	(51,115,838)	(52,096,074)	(63,569,224)	(62,080,175)
(102,247)	272,966	1,421,730	543,344	241,577	33,367
\$ (52,033,489)	\$ (50,858,260)	\$ (49,694,108)	\$ (51,552,730)	\$ (63,327,647)	\$ (62,046,808)

Pleasant Valley Community School District

**General Revenues and Total Change in Net Position
Last Ten Fiscal Years
(accrual basis of accounting)
(Unaudited)**

	Fiscal Year			
	2016	2017	2018	2019
General revenues and other changes in net position:				
Governmental activities:				
Taxes:				
Property taxes levied for:				
General purposes	\$ 16,698,868	\$ 17,606,221	\$ 18,359,453	\$ 19,216,658
Capital projects	2,379,912	2,566,497	2,705,964	2,854,682
Other specific purposes	690,670	743,239	589,075	634,423
Statewide sales and services tax	4,194,086	4,343,875	4,423,311	5,059,769
Unrestricted grants	18,552,175	21,128,076	22,602,674	23,406,467
Miscellaneous	509,597	513,969	460,997	548,663
Investment earnings	87,857	124,520	202,180	489,188
Transfers	30,025	30,953	216,856	131,775
Total governmental activities	43,143,190	47,057,350	49,560,510	52,341,625
Business-type activities:				
Investment earnings	4,243	6,713	13,441	24,689
Transfers	(30,025)	(30,953)	(216,856)	(131,775)
Total business-type activities	(25,782)	(24,240)	(203,415)	(107,086)
Total primary government	43,117,408	47,033,110	49,357,095	52,234,539
Change in net position:				
Total governmental activities	4,412,925	(759,306)	1,743,854	2,183,352
Total business-type activities	261,630	464,380	285,205	213,135
Total primary government	\$ 4,674,555	\$ (294,926)	\$ 2,029,059	\$ 2,396,487

Source: District financial records

Fiscal Year					
2020	2021	2022	2023	2024	2025
\$ 19,510,686	\$ 21,072,520	\$ 22,390,453	\$ 20,863,056	\$ 19,576,049	\$ 20,004,107
3,065,500	3,236,818	3,422,653	3,472,790	3,651,322	3,802,517
728,431	759,226	809,119	2,064,390	1,391,657	1,794,406
5,191,254	5,587,148	5,854,401	7,101,953	7,320,316	7,324,934
24,503,479	24,430,506	27,262,472	27,930,505	29,912,675	31,335,685
535,476	476,946	285,201	801,420	3,995,439	3,992,124
634,970	813,563	163,251	1,299,071	1,742,245	2,091,275
125,021	(84,150)	219,176	57,739	49,417	52,300
54,294,817	56,292,577	60,406,726	63,590,924	67,639,120	70,397,348
21,340	5,743	10,947	115,818	186,633	175,119
(125,021)	84,150	(219,176)	(57,739)	(49,417)	(52,300)
(103,681)	89,893	(208,229)	58,079	137,216	122,819
54,191,136	56,382,470	60,198,497	63,649,003	67,776,336	70,520,167
2,363,575	56,292,577	60,406,726	63,590,924	4,069,896	8,317,173
(205,928)	89,893	(208,229)	58,079	378,793	156,186
\$ 2,157,647	\$ 56,382,470	\$ 60,198,497	\$ 63,649,003	\$ 4,448,689	\$ 8,473,359

Pleasant Valley Community School District

Fund Balances, Governmental Funds
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)

	Fiscal Year			
	2016	2017	2018	2019
General Fund:				
Nonspendable	\$ 130,038	\$ 107,892	\$ 142,536	\$ 143,272
Restricted	600,523	634,569	662,376	523,933
Assigned	2,040,642	2,146,505	2,313,277	3,148,671
Unassigned	2,957,325	3,550,195	3,470,053	3,238,128
Total General Fund	5,728,528	6,439,161	6,588,242	7,054,004
All other governmental funds:				
Nonspendable	1,112	4,918	5,295	9,884
Restricted for:				
Capital projects funds	5,651,773	6,752,614	3,268,728	28,524,186
Debt service	594,338	381,144	22,455	1,059,583
Special revenue funds	2,175,331	2,431,290	2,643,444	2,919,016
Unassigned	-	-	-	-
Total all other governmental funds	8,422,554	9,569,966	5,939,922	32,512,669
Total governmental funds	\$ 14,151,082	\$ 16,009,127	\$ 12,528,164	\$ 39,566,673

Source: District financial records

Fiscal Year					
2020	2021	2022	2023	2024	2025
\$ 158,217	\$ 358,172	\$ 518,688	\$ 272,311	\$ 178,409	\$ 136,765
623,430	895,985	1,105,162	1,224,131	1,242,038	998,475
3,133,352	3,162,842	3,161,450	3,277,498	3,349,442	3,648,794
4,309,175	6,920,517	7,157,559	7,370,920	10,195,186	11,954,774
8,224,174	11,337,516	11,942,859	12,144,860	14,965,075	16,738,808
96,367	1,126	4,259	15,914	6,017	529,653
20,244,645	12,549,453	14,722,369	14,264,584	26,365,605	9,570,354
280,874	289,304	302,213	388,038	2,635,205	2,633,051
3,012,089	2,976,038	3,049,054	4,276,791	4,720,774	5,211,527
-	-	-	-	-	-
23,633,975	15,815,921	18,077,895	18,945,327	33,727,601	17,944,585
\$ 31,858,149	\$ 27,153,437	\$ 30,020,754	\$ 31,090,187	\$ 48,692,676	\$ 34,683,393

Pleasant Valley Community School District

Governmental Funds Revenues

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2016	2017	2018	2019
Local sources:				
Property taxes	\$ 19,769,450	\$ 21,662,607	\$ 21,654,493	\$ 22,705,763
Interest income	87,857	124,520	229,390	151,685
Other revenues	3,606,539	3,287,108	3,910,439	3,952,799
Total local sources	23,463,846	25,074,235	25,794,322	26,810,247
State sources:				
Statewide sales, services and use tax	4,182,214	4,333,461	4,415,088	5,059,769
State foundation aid and state grants	25,572,441	26,985,461	28,762,094	29,773,918
Total state sources	29,754,655	31,318,922	33,177,182	34,833,687
Federal sources, federal grants	904,035	872,011	941,058	1,012,883
Total revenues	\$ 54,122,536	\$ 57,265,168	\$ 59,912,562	\$ 62,656,817

Source: District financial records

Fiscal Year					
2020	2021	2022	2023	2024	2025
\$ 23,304,617	\$ 25,068,564	\$ 26,622,225	\$ 26,400,236	\$ 27,737,459	\$ 25,601,030
599,831	796,576	163,251	533,274	1,630,841	1,957,426
3,303,074	3,443,555	3,958,874	6,690,557	5,778,995	9,622,360
27,207,522	29,308,695	30,744,350	33,624,067	35,147,295	37,180,816
5,215,928	5,117,291	6,298,315	7,394,675	7,320,316	7,324,934
31,147,243	33,221,454	34,530,111	37,458,976	40,165,592	41,543,665
36,363,171	38,338,745	40,828,426	44,853,651	47,485,908	48,868,599
923,013	1,991,226	2,284,600	1,869,016	1,321,372	1,616,421
\$ 64,493,706	\$ 69,638,666	\$ 73,857,376	\$ 80,346,734	\$ 83,954,575	\$ 87,665,836

Pleasant Valley Community School District

Governmental Funds Expenditures and Debt Service Ratio

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2016	2017	2018	2019
Instruction	\$ 32,013,799	\$ 32,861,581	\$ 35,464,968	\$ 35,574,571
Student services	1,805,292	1,921,235	2,066,131	2,140,443
Instructional staff services	3,217,189	3,487,286	3,648,615	3,847,717
Administration services	4,209,472	4,466,699	4,750,539	4,860,451
Operation and maintenance of plant	3,040,088	3,307,042	3,491,192	3,731,218
Transportation services	1,687,983	1,809,887	1,932,688	1,987,324
Noninstructional programs	42,924	33,911	23,618	21,855
Capital outlay, facilities acquisition	10,084,680	13,587,047	17,072,274	9,136,619
AEA flowthrough	1,826,774	1,901,900	2,056,304	2,156,919
Debt service:				
Principal	-	1,590,000	2,840,000	2,979,691
Interest and fiscal charges	206,613	471,868	623,732	1,455,077
Total expenditures	\$ 58,134,814	\$ 65,438,456	\$ 73,970,061	\$ 67,891,885
Debt service as a percentage of noncapital expenditures	0.42%	3.95%	6.05%	7.46%

Source: District financial records

Fiscal Year					
2020	2021	2022	2023	2024	2025
\$ 36,542,961	\$ 39,113,467	\$ 42,286,174	44,517,008	\$ 46,169,462	\$ 48,193,528
2,081,854	1,907,354	2,546,322	2,454,356	2,686,442	2,856,763
4,036,280	4,029,453	4,447,502	4,806,787	5,050,443	5,556,412
4,818,158	5,140,249	5,715,789	5,815,625	6,445,015	6,791,469
3,501,291	3,729,238	4,036,232	4,395,081	4,410,593	5,495,408
1,948,687	1,957,462	2,043,837	2,317,749	2,767,576	2,864,078
24,256	23,195	24,945	32,771	48,284	36,999
10,592,542	9,757,645	1,045,132	5,841,785	17,525,019	20,021,616
2,259,331	2,375,720	2,486,311	2,644,450	2,773,723	2,197,984
5,138,397	5,266,348	5,478,365	5,520,631	5,667,810	5,994,890
1,383,494	1,263,003	1,138,084	1,017,652	1,360,329	2,140,396
<u>\$ 72,327,251</u>	<u>\$ 74,563,134</u>	<u>\$ 71,248,693</u>	<u>\$ 79,363,895</u>	<u>\$ 94,904,696</u>	<u>\$ 102,149,543</u>
10.52%	10.03%	9.46%	8.96%	9.09%	9.93%

Pleasant Valley Community School District

Other Financing Sources and Uses and Net Change in Fund Balances

Governmental Funds

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2016	2017	2018	2019
Excess (deficiency) of revenues over (under) expenditures	\$ (4,012,278)	\$ (8,173,288)	\$ (14,057,499)	\$ (5,235,067)
Other financing sources (uses):				
Sale of capital assets	2,361	380	10,842	60,000
Issuance of debt	10,000,000	10,000,000	10,348,838	32,081,801
Premium on issuance of debt	-	-	-	-
Issuance of lease	-	-	-	-
Issuance of IT subscription obligation	-	-	-	-
Transfers in	716,187	1,736,826	3,182,554	5,306,374
Transfers out	(686,162)	(1,705,873)	(2,965,698)	(5,174,599)
Total other financing sources (uses)	10,032,386	10,031,333	10,576,536	32,273,576
Net change in fund balances	\$ 6,020,108	\$ 1,858,045	\$ (3,480,963)	\$ 27,038,509

Source: District financial records

Fiscal Year					
2020	2021	2022	2023	2024	2025
\$ (7,833,545)	\$ (4,924,468)	\$ 2,608,683	\$ 982,839	\$ (10,950,121)	\$ (14,483,707)
-	5,975	12,354	1,342	46,039	14,196
-	-	-	-	27,180,000	-
-	-	-	-	1,002,625	-
-	-	27,104	-	201,905	407,928
-	-	-	27,513	72,624	-
5,942,616	6,670,799	6,760,411	6,618,831	12,577,203	10,736,614
(5,817,595)	(6,457,018)	(6,541,235)	(6,561,092)	(12,527,786)	(10,684,314)
125,021	219,756	258,634	86,594	28,552,610	474,424
\$ (7,708,524)	\$ (4,704,712)	\$ 2,867,317	\$ 1,069,433	\$ 17,602,489	\$ (14,009,283)

Pleasant Valley Community School District

**Assessed Value and Taxable Value of Assessed Property
Last Ten Fiscal Years
(Unaudited)**

Valuation Date	Fiscal Year	Taxable Residential Property	Taxable Multiresidential Property	Taxable Agricultural Property	Taxable Commercial Property	Taxable Industrial Property	Taxable Railroads
1/1/2014	2015-2016	1,043,403,312	-	15,247,537	156,483,850	60,456,091	1,224,349
1/1/2015	2016-2017	1,133,691,222	44,926,073	15,015,402	119,039,872	61,893,532	1,732,590
1/1/2016	2017-2018	1,208,406,161	41,798,373	15,550,165	120,102,257	61,586,636	2,071,435
1/1/2017	2018-2019	1,311,230,225	40,880,110	17,944,261	128,368,271	63,522,426	2,340,134
1/1/2018	2019-2020	1,401,196,722	39,937,432	18,164,734	130,992,138	63,504,346	2,393,200
1/1/2019	2020-2021	1,428,289,294	53,886,496	19,313,150	133,890,065	63,423,518	3,114,867
1/1/2020	2021-2022	1,528,268,831	53,109,023	19,825,922	147,026,323	63,751,441	3,242,272
1/1/2021	2022-2023	1,594,006,479	56,939,631	19,502,276	166,788,396	65,823,539	3,204,798
1/1/2022	2023-2024	1,756,807,209	-	20,157,557	159,180,177	66,039,007	3,231,925
1/1/2023	2024-2025	1,780,766,327	-	21,144,524	201,527,958	89,019,479	3,703,894

Source: Iowa Department of Management and Scott County Auditor.

Notes:

Property is assessed on a calendar year basis. The assessments finalized as of January 1 of each year are applied to the second fiscal year following the tax assessment year.

Prior to FY2017 multiresidential property was included with commercial property and taxed at the same rate. Beginning in FY2017 its rollback percentage is 3.75% less than commercial property. The rollback percentage for multiresidential property will decrease 3.75% per year until it is taxed at the same rate as residential property.

(a) Per \$1,000 of taxable value.

Taxable Utilities Without Gas & Electric	Taxable Utilities Gas & Electric Only	Military Exemption	Total Taxable Valuation Without Tax Increment Financing (TIF)	Tax Increment Financing (TIF)	Total Taxable Value With TIF	100% Assessed Value	Total Direct Rate (a)
17,035,377	58,484,070	(2,316,852)	1,350,017,734	133,372,143	1,483,389,877	2,469,017,594	14.34409
15,636,926	58,731,748	(2,285,368)	1,448,381,997	146,892,381	1,595,274,378	2,676,942,475	14.14425
15,160,104	55,030,720	(2,252,032)	1,517,453,819	158,345,603	1,675,799,422	2,777,879,736	13.95589
17,829,924	54,463,164	(2,248,328)	1,634,330,187	134,836,020	1,769,166,207	2,999,567,470	13.65587
18,165,474	52,827,278	(2,211,288)	1,724,970,036	133,107,413	1,858,077,449	3,102,841,240	13.41138
14,607,453	50,758,578	(2,185,360)	1,765,098,061	149,366,560	1,914,464,621	3,275,467,091	13.78152
13,893,146	55,195,991	(2,166,840)	1,882,146,109	150,506,886	2,032,652,995	3,426,217,440	13.76024
14,262,069	65,519,019	(2,113,132)	1,983,933,075	161,514,966	2,145,448,041	3,747,399,810	13.46043
11,595,041	50,442,024	(2,040,904)	2,065,412,036	172,682,322	2,238,094,358	3,942,435,943	13.46055
12,696,751	50,470,420	(10,377,227)	2,148,952,126	191,326,520	2,340,288,646	4,725,288,292	13.46041

Pleasant Valley Community School District

Direct and Overlapping Property Tax Rates

Last Ten Fiscal Years

(rate per \$1,000 of taxable value)

(Unaudited)

Fiscal Year	District Direct Rates			Total
	General Purposes	Capital Purposes	Debt Service	
2015-2016	12.67409	1.67000	-	14.34409
2016-2017	12.47425	1.67000	-	14.14425
2017-2018	12.28589	1.67000	-	13.95589
2018-2019	11.98587	1.67000	-	13.65587
2019-2020	11.74138	1.67000	-	13.41138
2020-2021	12.11152	1.67000	-	13.78152
2021-2022	12.09024	1.67000	-	13.76024
2022-2023	11.79043	1.67000	-	13.46043
2023-2024	11.79055	1.67000	-	13.46055
2024-2025	11.79041	1.67000	-	13.46041

Source: Iowa Department of Management and Scott County Auditor.

Overlapping Rates							
Scott County	College Area IX	City of Bettendorf	City of Leclaire	City of Panarama Park	City of Riverdale	Assessor	Other
6.00377	0.96863	12.55000	14.29804	5.79870	11.90048	0.27052	0.07135
5.82228	1.00909	12.55000	14.29798	5.80468	11.99199	0.23792	0.07089
5.82167	1.03000	12.50000	13.92602	5.80424	11.99735	0.22975	0.07057
5.82167	1.03000	12.50000	13.64999	5.80408	11.84593	0.19523	0.06842
5.99401	0.99000	12.50000	13.35596	5.80405	9.39248	0.18832	0.06740
6.21304	0.82406	12.80000	13.09828	5.97332	9.39665	0.17432	0.06667
6.04197	0.92357	12.80000	12.83631	6.11078	6.03216	0.17298	0.06637
5.95000	0.94542	12.65000	12.64166	5.68321	5.63532	0.19858	0.06621
5.95000	0.94840	12.65000	12.64166	5.65318	8.10001	0.21464	0.06657
5.95000	0.94807	13.11000	12.64166	4.54872	9.88689	0.20387	0.06485

Pleasant Valley Community School District

**Principal Property Tax Payers
Current Year and Nine Years Ago
(Unaudited)**

Name of Taxpayer	2025*			2016**		
	Taxable Value	Rank	Percentage of Total Taxable Value	Taxable Value	Rank	Percentage of Total Taxable Value
Arconic Davenport LLC	49,235,708	1	2.1%	37,234,692	2	2.5%
Midamerican Energy Co.	36,978,587	2	1.6%	52,325,045	1	3.5%
The Bettplex LLC	25,595,764	3	1.1%			
Wellspire-Bettendorf LLC	23,799,947	4	1.0%			
Continental 203 Fund LLC	18,128,933	5	0.8%	19,878,588	3	1.3%
Iowa American Water Company	13,391,953	6	0.6%	6,151,644	10	0.4%
Northern Border Pipeline Company	10,811,655	7	0.5%	9,973,209	5	0.7%
Pebble Creek Borrower 2021 LLC	10,417,261	8	0.4%			
Glenbrook Ridge Senior Living LLC	10,277,489	9	0.4%			
Olympic Steel Iowa Inc	9,435,186	10	0.4%	8,647,425	7	0.6%
Chateau Knoll LLC				10,792,080	4	0.7%
First Equity Management L C				9,411,048	6	0.6%
Bettendorf Regency Apartments				7,692,300	8	0.5%
Alter Trading Corp				6,806,817	9	0.5%
Total	<u>\$ 208,072,483</u>		<u>8.9%</u>	<u>\$ 168,912,848</u>		<u>11.4%</u>
Total Taxable Value	<u>\$ 2,340,278,646</u>			<u>\$ 1,483,389,877</u>		

Source: Scott County Auditor

* - Based on 01/01/2023 Valuations

** - Based on 01/01/2014 Valuations

Pleasant Valley Community School District

Property Tax Levies and Collections

Last Ten Fiscal Years

(Unaudited)

Fiscal Year	Taxes Levied for the Fiscal Year	Collected Within the Fiscal Year of the Levy		Collections In Subsequent Years	Total Collections to Date	
		Amount	Percentage of Levy		Amount	Percentage of Levy
2015-2016	\$ 19,743,499	\$ 19,726,000	99.91%	\$ 2,892	\$ 19,728,891	99.93%
2016-2017	20,900,338	20,875,864	99.88%	2,381	20,878,245	99.89%
2017-2018	21,622,918	21,622,918	100.00%	-	21,622,918	100.00%
2018-2019	22,695,843	22,675,780	99.91%	5,892	22,681,566	99.94%
2019-2020	23,505,437	23,268,087	98.99%	237,350	23,505,437	100.00%
2020-2021	24,783,708	24,783,708	100.00%	-	24,783,708	100.00%
2021-2022	26,356,996	26,356,996	100.00%	-	26,356,996	100.00%
2022-2023	27,195,528	27,190,995	99.98%	-	27,190,995	99.98%
2023-2024	28,328,738	28,328,738	100.00%	-	28,328,738	100.00%
2024-2025	29,501,658	29,365,370	99.54%	-	29,365,370	99.54%

Source: Iowa Department of Management, Scott County Auditor and School District financial records.

Pleasant Valley Community School District

**Outstanding Debt by Type
Last Ten Fiscal Years
(Unaudited)**

Fiscal Year	General Obligation Note	Leases	IT Subscription Obligation	Revenue Bonds	Total Primary Government	Percentage of Personal Income	Per Capita
2016	\$ -	\$ -	\$ -	\$ 10,000,000	\$ 10,000,000	1.3%	466
2017	-	-	-	18,410,000	18,410,000	2.1%	833
2018	-	-	-	25,570,000	25,570,000	2.9%	N/A
2019	18,037,621	-	-	36,680,000	54,717,621	5.9%	2,392
2020	16,258,441	-	-	33,360,000	49,618,441	5.1%	1,905
2021	14,424,261	89,402	-	29,970,000	44,483,663	4.0%	1,728
2022	12,540,081	213,703	24,770	26,515,000	39,293,554	N/A	N/A
2023	10,600,901	139,407	25,948	22,990,000	33,756,256	N/A	N/A
2024	8,601,721	270,577	66,497	47,562,625	56,501,420	N/A	N/A
2025	6,542,541	200,266	43,910	43,717,494	50,504,211	N/A	1,903

Source: District financial records

N/A = not available.

Pleasant Valley Community School District

**Ratio of Net Bonded Debt to Assessed Values
Last Ten Fiscal Years
(Unaudited)**

Year of Collection	Actual Value of Taxable Property	Total Primary Government Outstanding Debt	Net Bonded Debt	Amount Restricted for Repayment of Outstanding Debt	Ratio of Net Bonded Debt to Taxable Value	Net Bonded Debt Per Capita
2015-16	\$ 1,483,389,877	\$ 10,000,000	\$ -	\$ 594,338	-	\$ -
2016-17	1,595,277,188	18,410,000	-	381,144	-	-
2017-18	1,675,799,422	25,918,838	-	22,455	-	-
2018-19	1,769,166,207	54,976,768	18,037,621	1,059,583	1.0%	785
2019-20	1,858,077,449	49,794,191	16,258,441	373,438	0.9%	624
2020-21	1,914,464,621	44,483,663	14,424,261	289,304	0.8%	562
2021-22	2,032,652,995	39,268,784	12,540,081	302,213	0.6%	N/A
2022-23	2,145,448,041	33,756,256	10,600,901	388,038	0.5%	N/A
2023-24	2,238,094,358	56,501,420	8,601,721	199,305	0.4%	N/A
2024-25	2,340,288,646	50,504,211	6,542,541	197,151	0.0%	N/A

Source: Iowa Department of Management, Scott County Auditor and School District financial records.

Notes: Details of the District's outstanding debt can be found in Note 5 in the notes to the financial statements.

N/A = not available.

Pleasant Valley Community School District

**Legal Debt Margin Information
Last Ten Fiscal Years
(Unaudited)**

	2015-2016	2016-2017	2017-2018	2018-2019
Legal Debt Margin Calculation				
Assessed value	\$ 2,469,017,594	\$ 2,676,942,475	\$ 2,777,879,736	\$ 2,999,567,470
Debt limit (5% of assessed value)	123,450,880	133,847,124	138,893,987	149,978,374
Debt applicable to limit	10,000,000	18,410,000	25,570,000	54,717,621
Legal debt margin	\$ 113,450,880	\$ 115,437,124	\$ 113,323,987	\$ 95,260,153
Total net debt applicable to the limit as a percentage of debt limit	8.10%	13.75%	18.41%	36.48%

Source: Iowa Department of Management, Scott County Auditor's Office and School District financial records.

Legal Debt Margin Calculation for Fiscal Year 2024-2025

Assessed value **\$ 4,725,288,292**

Debt limit (5% of assessed value) **\$ 236,264,415**

Debt applicable to limit **49,735,112**

Legal debt margin **\$ 186,529,303**

2019-2020	2020-2021	2021-2022	2022-2023	2023-2024	2024-2025
<u>\$ 3,102,841,240</u>	<u>\$3,275,467,091</u>	<u>\$3,426,217,440</u>	<u>\$3,747,399,810</u>	<u>\$3,942,435,943</u>	<u>\$4,725,288,292</u>
155,142,062	163,773,355	171,310,872	187,369,991	197,121,797	236,264,415
49,618,441	44,394,261	39,055,081	33,590,901	55,322,074	49,735,112
<u>\$ 105,523,621</u>	<u>\$ 119,379,094</u>	<u>\$ 131,255,791</u>	<u>\$ 153,779,090</u>	<u>\$ 141,799,723</u>	<u>\$ 186,529,303</u>

31.98% 27.11% 22.80% 17.93% 28.06% **21.05%**

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Pleasant Valley Community School District

**Direct and Overlapping Governmental Activities Debt
As of June 30, 2025
(Unaudited)**

Governmental Unit	Debt Outstanding	Estimated Percentage Applicable*	Estimated Share of Direct and Overlapping Debt
Scott County	10,075,011	21.21%	2,137,405
Eastern Iowa Community College	47,060,000	12.91%	6,075,501
City of Bettendorf	141,133,600	55.35%	78,115,615
City of LeClaire	18,681,900	100.00%	18,681,900
City of Riverdale	114,157	99.45%	113,526
Subtotal, overlapping debt			<u>105,123,948</u>
District direct debt			<u>50,504,211</u>
Total direct and overlapping debt			<u><u>\$ 155,628,159</u></u>

Source: Scott County Auditor.

Notes:

Overlapping governments are those that coincide, at least in part, with the geographic boundaries of the District. This statistical page estimates the portion of the outstanding debt of those overlapping governments that is borne by the residents and businesses of the District. This process recognizes that when considering the District's ability to issue and repay long-term debt, the entire debt burden borne by the residents and business should be taken into account. However, this does not imply that every taxpayer is a resident, and therefore responsible for repaying the debt, of each overlapping government.

* The percentage of overlapping debt applicable is estimated using taxable property values. Applicable percentages were estimated by determining the portion of another governmental unit's taxable value that is within the District's boundaries and dividing it by each unit's total taxable value. (Calculated by dividing the amount of the value applicable to the District by the total value for that taxing authority; 2023 assessed values are used.)

Pleasant Valley Community School District

**Pledged Revenue Coverage
Last Ten Fiscal Years
(Unaudited)**

Fiscal Year	Revenue Bonds			
	Revenue	Debt Service		Coverage
		Principal	Interest	
2016	4,182,214	-	92,956	44.99
2017	4,333,461	1,590,000	329,694	2.26
2018	4,415,088	2,840,000	485,652	1.33
2019	5,037,297	2,540,000	299,810	1.77
2020	5,215,928	3,320,000	843,026	1.25
2021	5,117,291	3,390,000	777,884	1.23
2022	6,298,315	3,455,000	709,371	1.51
2023	7,394,675	3,525,000	641,934	1.77
2024	7,320,316	3,610,000	556,941	1.76
2025	7,324,934	3,795,000	1,839,270	1.30

Source: District financial records

Notes: Details regarding the District's outstanding debt can be found in Note 5 of the notes to the financial statements.

These bonds are backed by a one-cent statewide sales, service and use tax

Pleasant Valley Community School District

Demographic and Economic Statistics

Last Ten Calendar Years

(Unaudited)

Calendar Year	Population (a)	Personal Income (b) (Thousands of Dollars)	Per Capita Personal Income	Scott County Area Unemployment Rate (c) *
2016	21,438	\$ 771,396,005	39,996	4.6%
2017	22,101	857,428,967	40,228	3.7%
2018	N/A	889,086,936	N/A	3.1%
2019	22,980	931,566,012	40,538	3.3%
2020	26,042	972,667,111	37,350	7.1%
2021	25,687	1,121,829,278	43,673	5.3%
2022	N/A	1,140,330,903	N/A	3.5%
2023	N/A	N/A	N/A	3.5%
2024	N/A	N/A	N/A	3.7%
2025	26,534	N/A	N/A	4.6%

Source:

(a) U.S. Census Bureau

(b) Iowa Department of Revenue

(c) Iowa Workforce Development

Notes: N/A = not available.

* Based on a ten-month period, January through October.

Pleasant Valley Community School District

**Full-Time Equivalent District Employees By Type
Last Ten Fiscal Years
(Unaudited)**

	Full-Time Equivalent Employees as of June 30			
	2016	2017	2018	2019
Supervisory:				
Superintendent	1.0	1.0	1.0	1.0
Principals	7.0	7.0	7.0	7.0
Assistant principals	5.0	5.0	5.0	5.4
District secretary	-	-	-	
Business Manager	1.0	1.0	1.0	1.0
Other officials/administrators	3.0	3.0	3.0	3.6
Total supervisory	17.0	17.0	17.0	18.0
Instruction:				
Classroom teachers	233.4	239.5	244.1	247.3
Special education teachers	28.6	29.0	29.3	30.4
Special programs	19.5	20.5	21.6	22.9
Vocational teachers	7.6	8.5	9.0	8.8
Teacher aides	60.7	66.5	68.7	71.5
Instructional technology technicians	3.3	3.0	3.0	3.0
Total instruction	352.9	367.0	375.7	383.9
Student services:				
Social workers	1.0	1.0	1.0	1.0
Counselors	14.0	13.0	14.0	14.2
Library/media specialists	6.0	7.0	7.0	7.0
Nurses	6.6	6.6	6.9	6.9
Total student services	27.6	27.6	28.9	29.0
Support and administration:				
Other support services	10.0	10.0	12.0	14.0
Office/clerical personnel	28.4	31.3	32.8	30.0
Other professional employees	2.5	3.5	3.5	2.0
Technology specialist	2.0	3.0	3.0	3.0
Crafts and trades personnel	4.0	3.0	4.0	3.0
Laborers	2.0	2.0	2.0	2.0
Service workers	46.0	44.1	45.9	50.4
Operative personnel	1.7	1.7	1.2	3.0
Total support and administration	96.5	98.6	104.3	107.4
Total	494.1	510.2	525.9	538.4

Source: District financial records

Full-Time Equivalent Employees as of June 30						Percentage Change 2016-2025
2020	2021	2022	2023	2024	2025	
1.0	1.0	1.0	1.0	1.0	1.0	0%
7.0	7.0	8.0	8.0	8.0	8.0	14%
5.5	7.0	8.8	9.0	10.0	10.0	100%
1.0	1.0	1.0	1.0	1.0	1.0	0%
3.7	1.6	1.0	1.0	1.0	2.0	-33%
18.2	17.6	19.8	20.0	21.0	22.0	29%
252.2	256.3	273.8	269.8	275.0	279.0	20%
34.8	36.8	38.1	38.5	39.0	42.4	49%
21.3	25.3	29.4	36.6	38.3	32.6	67%
8.5	8.8	9.8	9.8	10.8	18.1	139%
84.3	75.7	95.1	108.0	112.2	113.4	87%
3.0						-100%
404.0	402.8	446.2	462.8	475.3	485.5	38%
1.0	-	-	-	-	-	-100%
14.2	13.6	13.3	13.7	15.7	14.2	1%
7.0	7.0	8.0	8.0	8.0	8.0	33%
6.9	7.0	8.0	8.0	8.0	8.0	21%
29.1	27.6	29.3	29.7	31.7	30.2	9%
13.5	21.4	16.1	18.9	17.9	21.8	100%
27.4	30.6	37.8	36.5	35.7	35.7	26%
2.0	4.0	5.0	5.0	6.0	6.0	140%
3.0	5.0	5.0	5.5	5.6	5.6	180%
5.5	4.9	4.0	5.0	5.0	4.0	0%
2.0	2.0	3.0	4.0	3.0	3.0	50%
48.8	49.9	52.9	55.2	57.3	58.9	28%
3.0	1.7	1.7	3.7	3.1	3.4	105%
105.2	119.5	125.5	133.8	133.7	138.4	43%
556.5	567.5	620.8	646.2	661.7	676.1	37%

Pleasant Valley Community School District

**Operating Statistics
Last Ten Fiscal Years
(Unaudited)**

Fiscal Year	Certified Enrollment	Operating Expenditures	Cost Per Pupil	Percentage Change
2015-2016	4,532	\$ 45,391,590	\$ 10,016	5.71%
2016-2017	4,746	47,415,560	9,991	-0.26%
2017-2018	4,922	50,735,977	10,308	3.18%
2018-2019	5,037	52,142,032	10,352	0.43%
2019-2020	5,128	53,008,239	10,337	-0.14%
2020-2021	5,244	55,962,993	10,672	3.24%
2021-2022	5,424	61,741,879	11,383	6.66%
2022-2023	5,557	64,759,789	11,654	2.38%
2023-2024	5,538	66,728,017	12,049	3.39%
2024-2025	5,498	69,922,416	12,718	5.55%

Source: Nonfinancial information from District records. District financial records.

Governmental Expenditures	Cost Per Pupil	Percentage Change	Teaching Staff	Pupil-Teacher Ratio	Percentage of Students Receiving Free or Reduced Price Meals
\$ 58,134,814	\$ 12,828	24.41%	321	7.08%	12.00%
65,438,456	13,788	7.48%	320	6.74%	12.00%
73,970,061	15,028	8.99%	326	6.62%	11.00%
67,891,884	13,479	-10.31%	336	6.67%	11.91%
72,327,251	14,104	4.64%	342	6.67%	11.97%
62,058,872	11,834	-16.10%	351	6.69%	12.00%
71,248,693	13,136	11.00%	371	6.84%	14.10%
79,363,895	14,282	8.72%	403	7.25%	12.70%
94,904,696	17,137	19.99%	412	7.44%	13.30%
102,149,543	18,579	8.42%	422	7.68%	12.10%

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Pleasant Valley Community School District

**Principal Employers
Current Year and Nine Years Ago
(Unaudited)**

Employer	2025			2016		
	Employees	Rank	Percentage of Total Employment	Employees	Rank	Percentage of Total Employment
Arconic	2,550	1	2.9%			
Davenport Community School District	2,538	2	2.9%	2,200	4	1.0%
John Deere Davenport Works	2,000	3	2.3%	838	10	0.4%
Kraft Heinz Co.	1,600	4	1.8%			
MercyOne Genesis	1,600	5	1.8%			
Amazon	1,500	6	1.7%			
Tri-City Electric Co.	1,200	7	1.4%			
Isle Casino Hotel	923	8	1.1%	1,000	7	0.5%
Davenport City Hall Civil	900	9	1.0%			
Eaton: Cobham Mission Systems	800	10	0.9%			
Genesis Health System				14,100	1	6.5%
Hy-Vee Scott County Locations				3,054	2	1.4%
City of Davenport				2,354	3	1.1%
Alcoa				2,000	5	0.9%
Oscar Mayer Foods Inc.				1,600	6	0.7%
Walmart Scott County Locations				992	8	0.5%
Tri-City Communications				900	9	0.4%
Scott County Total Employment (2025)						86,764
Scott County Total Employment (2016)						N/A

Source: Bi-State Regional Commission

Pleasant Valley Community School District

**School Building Information
Last Ten Fiscal Years
(Unaudited)**

School	Fiscal Year			
	2015-2016	2016-2017	2017-2018	2018-2019
Pleasant View				
Square feet	80,913	80,913	81,513	81,513
Capacity*	850	850	925	925
Enrollment	632	632	651	713
Playgrounds	2	2	2	2
Hopewell				
Square feet	64,180	64,180	64,180	80,486
Capacity*	900	900	900	875
Enrollment	545	545	650	709
Playgrounds	1	1	1	2
Cody				
Square feet	54,709	54,709	60,897	70,060
Capacity*	625	625	675	700
Enrollment	320	320	361	394
Playgrounds	1	1	1	1
Bridgeview				
Square feet	54,654	54,654	54,654	55,254
Capacity*	575	575	575	600
Enrollment	383	383	391	407
Playgrounds	2	2	2	2
Riverdale Heights				
Square feet	84,195	84,195	84,195	84,195
Capacity*	800	800	950	950
Enrollment	634	634	636	680
Playgrounds	2	2	2	2
Forest Grove				
Square feet	n/a	n/a	n/a	n/a
Capacity*	n/a	n/a	n/a	n/a
Enrollment	n/a	n/a	n/a	n/a
Playgrounds	n/a	n/a	n/a	n/a
Jr. High				
Square feet	137,937	137,937	141,777	144,719
Capacity*	1,300	1,300	1,325	1,325
Enrollment	668	668	745	844
Playgrounds	-	-	-	-
High School				
Square feet	258,304	258,304	353,711	374,704
Capacity*	1,975	1,975	2,300	2,300
Enrollment	1,338	1,338	1,442	1,540
Playgrounds	-	-	-	-

Source: District records.

Notes: * Capacity calculation is number of possible classrooms times maximum of 25 students each

Fiscal Year					
2019-2020	2020-2021	2021-2022	2022-2023	2023-2024	2024-2025
81,513	81,513	81,513	81,513	81,513	81,513
925	925	925	925	925	925
713	673	651	659	691	665
2	2	2	2	2	2
80,486	80,486	80,486	80,486	80,486	80,486
875	875	875	875	875	875
709	696	649	698	716	684
2	2	2	2	2	2
70,060	70,060	70,060	70,060	70,060	70,060
700	700	700	700	700	700
394	445	424	457	467	460
1	1	1	1	1	1
55,254	55,254	55,254	55,254	55,254	55,254
600	600	600	600	600	600
407	366	374	366	363	357
2	2	2	2	2	2
84,195	84,195	84,195	84,195	84,195	84,195
950	950	950	950	950	950
680	659	636	629	662	661
2	2	2	2	2	2
n/a	84,195	84,195	84,195	84,195	84,195
n/a	950	950	950	950	950
n/a	-	248	328	361	359
n/a	2	2	2	2	2
144,719	144,719	144,719	144,719	144,719	144,719
1,325	1,325	1,325	1,325	1,325	1,325
844	824	800	856	942	986
-	-	-	-	-	-
374,704	374,704	374,704	374,704	374,704	374,704
2,300	2,300	2,300	2,300	2,300	2,300
1,540	1,541	1,643	1,658	1,779	1,826
-	-	-	-	-	-

Pleasant Valley Community School District

**Average Salary by Education Level
Last Ten Fiscal Years
(Unaudited)**

Education Level	Fiscal Year			
	2015-2016	2016-2017	2017-2018	2018-2019
BA				
Total FTE	65.83	66.50	62.00	57.00
Average salary	39,720	40,822	41,297	41,135
BA + 10				
Total FTE	27.00	21.33	21.33	18.34
Average salary	45,918	48,135	48,655	50,866
BA +20				
Total FTE	40.00	41.00	44.00	47.00
Average salary	52,435	53,220	53,865	52,631
MA				
Total FTE	62.79	72.88	76.69	80.80
Average salary	52,252	53,461	54,254	53,814
MA + 10				
Total FTE	42.00	38.00	35.00	36.59
Average salary	60,762	62,138	62,238	60,746
MA + 20				
Total FTE	25.00	30.00	30.00	30.00
Average salary	65,390	66,154	67,941	67,808
MA +30				
Total FTE	62.00	66.00	74.42	81.50
Average salary	66,649	67,734	69,617	69,201
Grand total FTE	324.62	335.71	343.44	351.23
Total average salary	54,069	52,284	56,855	55,594

Source: District personnel records.

Notes:

Full-time instructional employees of the District are employed for all 192 work days, at eight hours per day or 1,536 hours per year. This schedule includes the local instructional salary schedule only. Not included are state appropriations to increase salaries, i.e., Teacher Quality or Phase II Funds.

Fiscal Year					
2019-2020	2020-2021	2021-2022	2022-2023	2023-2024	2024-2025
63.00 41,996	72.00 42,411	80.00 42,540	82.00 44,302	82.00 45,335	78.00 46,284
20.33 50,521	18.33 51,141	18.33 48,699	14.33 50,405	17.33 51,183	10.33 52,115
38.00 56,463	41.00 56,025	36.17 57,270	38.00 59,379	34.00 59,129	42.50 59,854
96.26 54,563	87.96 56,597	100.16 57,445	106.66 58,745	109.50 60,371	108.00 63,024
28.09 62,150	37.00 63,148	39.00 64,156	39.00 66,293	43.00 69,309	44.50 68,966
26.00 67,983	25.40 67,195	31.17 67,066	32.00 69,826	33.00 72,692	33.00 73,940
86.59 70,945	87.00 72,955	85.00 73,864	88.00 75,689	92.00 78,284	104.00 78,375
358.26 58,044	368.69 58,740	389.83 58,980	399.99 60,855	410.83 62,794	420.33 64,519

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**Independent Auditor's Report on Internal Control Over
Financial Reporting and on Compliance and Other Matters
Based on an Audit of Financial Statements Performed in
Accordance With *Government Auditing Standards***

To the Board of Education
Pleasant Valley Community School District
Bettendorf, Iowa

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*), the financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of Pleasant Valley Community School District (the District) as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the District's basic financial statements and have issued our report thereon dated October 3, 2025.

Our report includes an emphasis of matter paragraph for the implementation of Governmental Accounting Standards Board Statement No. 101.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of Pleasant Valley Community School District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the District's financial statements will not be prevented, or detected and corrected on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that have not been identified.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*. However, we noted certain immaterial instances of noncompliance or other matters which are described in Part II of the accompanying Schedule of Findings and Responses.

Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2025 are based exclusively on knowledge obtained from procedures performed during our audit of the financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Bohnsack & Frommelt LLP

Moline, Illinois
October 3, 2025

Pleasant Valley Community School District

**Schedule of Findings and Responses
Year Ended June 20, 2025**

Part I: Findings Related to the Basic Financial Statements

Instances of noncompliance:

No matters were reported.

Internal control deficiencies:

No matters were reported.

Part II: Other Findings Related to Statutory Reporting

II-A-25

Certified Budget – Expenditures for the year ended June 30, 2025 did not exceed the amounts budgeted at year-end.

II-B-25

Questionable Expenditures – No expenditures were noted that we believe may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 1979.

II-C-25

Travel Expense – No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

II-D-25

Business Transactions – No business transactions between the District and District officials or employees were noted.

II-E-25

Restricted Donor Activity – No transaction were noted between the District, District officials or District employees and restricted donors in compliance with Chapter 68B of the Code of Iowa.

II-F-25

Bond Coverage – Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to insure that the coverage is adequate for current operations.

II-G-25

Board Minutes – No transactions requiring Board approval which had not been approved by the Board were noted.

(Continued)

Pleasant Valley Community School District

Schedule of Findings and Responses
Year Ended June 20, 2025

II-H-25

Certified Enrollment –

Finding: The District identified variances in certified enrollment submitted to the state in October 2024.

Recommendation: We recommend the District review certified enrollment data for accuracy prior to submission to the state.

Response and Corrective Action Plan: The District will continue to review data prior to submission.

Conclusion: Response accepted.

II-I-25

Supplementary Weighting – No variances regarding the supplementary weighting certified to the Iowa Department of Education were noted.

II-J-25

Deposits and Investments – No instances of noncompliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Code of Iowa and the District's investment policy were noted.

II-K-25

Certified Annual Report – The Certified Annual Report was certified to the Iowa Department of Education timely and we noted no significant deficiencies in the amounts reported.

II-L-25

Categorical Funding – No instances were noted of categorical funding being used to supplant rather than supplement other funds.

(Continued)

Pleasant Valley Community School District

Schedule of Findings and Responses Year Ended June 20, 2025

II-M-25

Statewide Sales and Services Tax – No instances of noncompliance with the use of the statewide sales and services tax revenue provisions of Chapter 423F.3 of the Code of Iowa were noted.

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales and services tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education.

For the year ended June 30, 2025, the District reported the following information regarding the statewide sales and services tax revenue in the District's CAR:

Beginning balance	\$ 26,363,429
Revenue / transfers in:	
Statewide sales and services tax revenue	7,324,934
Interest and other	737,726
Transfer in	191,560
Expenditures/transfers out:	
Transfers out	7,975,683
Instruction	120,074
School infrastructure	16,921,761
Debt service, fees	37,450
Ending balance	<u>\$ 9,562,681</u>

For the year ended June 30, 2025, the District reduced the debt service tax levy by \$3.13 per \$1,000 of taxable valuation as a result of the moneys received under Chapter 423E or 423F of the Code of Iowa.

	Per \$1,000 of Taxable Valuation	Property Tax Dollars
Debt service levy	\$ 3.13	\$ 7,324,934